

# amc\_dsl\_text - Payoff Language Reference

Operators, keywords, and the complete built-in function vocabulary for writing `.amc` payoffs

amc\_engine / amc\_dsl\_text

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This document is an exhaustive reference for **everything you can type inside a `.amc` payoff** — every operator, every structural keyword, and every built-in function, from the simplest (`+`, `max`) to the most complex (`BARRIER_SURVIVAL`, `CMS`, `TRANCHE_LOSS`). Each entry gives the signature, what it computes, and a short payoff-line example.

It is organised in four parts:

- 1. **Operators** — the arithmetic / comparison / boolean / ternary layer.
- 2. **Structural keywords** — `product`, `state`, `events`, `for`, `at`, `receive`, `set`, `exercise`, `knock_in`, `knock_out`, `enter`, `swap`, `bond`, ... and the flow flags.
- 3. **Built-in payoff functions** — ~150 primitives grouped by role, each with a signature and example.
- 4. **Dates, schedules, and the `for/continuous` iterators.**

Throughout, `S`, `SPX`, `asset` denote an underlying name declared in `underlyings = [...]`; lowercase identifiers like `perf`, `ki`, `cpn` denote state variables or `let` constants.

## Part 1 — Operators

Payoff expressions are ordinary infix expressions evaluated **element-wise over Monte-Carlo paths** (every value is a per-path vector). The compiler restricts the expression grammar to a safe whitelist of operators; anything outside it is a compile error. The permitted operators are:

### Arithmetic

| Operator               | Meaning           | Example                                    |
|------------------------|-------------------|--------------------------------------------|
| <code>+ -</code>       | add / subtract    | <code>receive S - K</code>                 |
| <code>* /</code>       | multiply / divide | <code>receive 0.5 * (S1 + S2)</code>       |
| <code>//</code>        | floor division    | <code>n_periods // 2</code>                |
| <code>%</code>         | modulo            | <code>i % 2</code>                         |
| <code>**</code>        | power             | <code>receive S ** 2</code> (power option) |
| unary <code>- +</code> | negation / plus   | <code>receive -perf</code>                 |

### Comparison (return a 0/1 mask per path)

| Operator                | Meaning              | Example                     |
|-------------------------|----------------------|-----------------------------|
| <code>&lt; &lt;=</code> | less / less-or-equal | <code>perf &lt;= 0.6</code> |

| Operator | Meaning                    | Example    |
|----------|----------------------------|------------|
| > >=     | greater / greater-or-equal | perf >= ab |
| == !=    | equal / not-equal          | idx == 0   |

Comparisons produce boolean/0–1 arrays that you multiply into cashflows or feed to `where/ternary`.

## Boolean & bitwise (element-wise path masks)

These combine per-path conditions element-wise (each operand is a 0/1 mask vector over paths):

- `and` or `not` — scalar boolean operators; use only on scalars, never on per-path arrays (they short-circuit on whole arrays). Example: `not forced`.
- `&` — element-wise AND. Example: `(perf >= cb) & (perf < ab)`.
- `|` — element-wise OR. Example: `(up_breach) | (down_breach)`.
- `^` — element-wise XOR. Example: `a ^ b`.
- `~` — element-wise NOT (bitwise). Example: `~knocked`.

**Idiom.** Combine per-path conditions with the bitwise `&` `|` `~`, **not** the Python keywords `and/or` — the keywords short-circuit on whole arrays and are only correct for scalars. The autocallable coupon gate is the canonical example: `receive (cpn if (perf >= cb) & (perf < ab) else 0.0)`.

## Ternary (the workhorse of payoff logic)

```
<value_if_true> if <condition> else <value_if_false>
```

Evaluated element-wise (compiles to a `where`). Nest freely:

```
receive (1.0 + cpn if perf >= rb
        else (max(perf, floor) if ki > 0.5 else 1.0))
```

`a if cond else b` and `where(cond, a, b)` are interchangeable; the ternary reads better when nested, `where` reads better when `cond` is long.

## Indexing, slices, lists, comprehensions

The grammar also allows list/tuple literals, subscripting `x[i]`, slices `x[a:b]`, and **list comprehensions** — used to build per-asset or per-date expressions programmatically inside a factory or a hand-written script:

```
# worst of three explicit ratios, built by comprehension
set worst = min([S/100.0 for S in [SPX, NDX, RTY]])
```

Supported AST node set (whitelist): arithmetic `+` `-` `*` `/` `//` `%` `**`, unary `-` `+` `not` `~`, boolean `and` `or`, bitwise `&` `|` `^`, comparisons `<` `<=` `>` `>=` `==` `!=`, the ternary `IfExp`, calls, names, numeric/string constants, lists, tuples, dicts, subscript, slice, and list/generator comprehensions. Attribute access, lambdas, assignments, and imports are **not** permitted inside an expression.

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## Part 2 — Structural keywords

These are the keywords that give a .amc program its shape. They are not functions; they are the statement/block vocabulary.

**Comments.** A script supports two comment forms. `#` begins a comment that runs to the end of the line (on its own line or trailing after code). `/* ... */` is a block comment that may span multiple lines or sit inline between tokens:

```
# this whole line is a comment
let cb = 0.7          # coupon barrier (trailing comment)
/* a block comment,
   possibly spanning lines */
currency = /* inline */ "USD"
```

Note `//` is **not** a comment — it is the floor-division operator (`5 // 2`).

### Program header

| Keyword                                     | Meaning                                                                                                                                            | Example                               |
|---------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------|
| <code>product &lt;Name&gt; { ... }</code>   | top-level wrapper; <code>&lt;Name&gt;</code> is a bare identifier                                                                                  | <code>product European { ... }</code> |
| <code>currency = "USD"</code>               | <b>mandatory</b> settlement currency; drives curve discounting off that currency's rate model (registry required)                                  | <code>currency = "EUR"</code>         |
| <code>discount = &lt;rate&gt;</code>        | <b>override only</b> — flat short-rate discounting $\exp(-r \cdot t)$ , no registry; supersedes <code>currency-</code> driven discounting when set | <code>discount = 0.02</code>          |
| <code>discount_rate = "USD"</code>          | currency-code form of curve discounting; redundant with <code>currency</code> and must match it                                                    | <code>discount_rate = "USD"</code>    |
| <code>as_of = "2026-01-01"</code>           | valuation date (ISO) for tenor/date resolution                                                                                                     | <code>as_of = "2026-01-01"</code>     |
| <code>underlyings = [SPX, NDX]</code>       | the tradable names referenced in payoffs                                                                                                           | <code>underlyings = ["EURUSD"]</code> |
| <code>param &lt;name&gt; = &lt;v&gt;</code> | a named compile-time parameter                                                                                                                     | <code>param K = 100.0</code>          |

**Discounting: currency is the default; don't add a redundant discount.** `currency` is **mandatory** and is the canonical way a product is discounted: `currency = "USD"` discounts off that currency's rate-model curve (a wired rate-model registry supplies it). With `currency` set, you do **not** also need `discount` or `discount_rate` — adding them is redundant, and a string `discount_rate` that disagrees with `currency` is a compile error.

Use `discount = <float>` **only** as a deliberate override when you want flat short-rate discounting  $\exp(-r \cdot t)$  with no registry (e.g. a quick stand-alone equity payoff). In that override case the float wins and `currency` becomes a label only (used for FX tagging on cross-currency pay events).

Resolution priority, for completeness: a float/callable `discount` wins (then `currency` is a label); a string `discount_rate` is a currency code and must match `currency`; otherwise

currency alone drives curve discounting. So the production default is **just** `currency = "USD"` — leave `discount` out unless you specifically want the flat-rate override.

## Declarations

| Keyword                                            | Meaning                                                                                        | Example                                    |
|----------------------------------------------------|------------------------------------------------------------------------------------------------|--------------------------------------------|
| <code>let &lt;name&gt; = &lt;const&gt;</code>      | compile-time constant, inlined into expressions                                                | <code>let cb = 0.7</code>                  |
| <code>let &lt;name&gt;[K] = [...]</code>           | <b>static vector</b> — fixed-size, immutable compile-time list; subscript folds to the element | <code>let w[3] = [0.2,0.3,0.5]</code>      |
| <code>mutable &lt;name&gt; = &lt;const&gt;</code>  | <b>compile-time counter</b> — reassignable scalar (not per-path); resolved at lowering         | <code>mutable k = 0</code>                 |
| <code>mutable &lt;name&gt;[K] = [...]</code>       | <b>compile-time mutable vector</b> — for recurrences/tables                                    | <code>mutable cpn[4] = [0.05,0,0,0]</code> |
| <code>state { ... }</code>                         | per-path state variables, carried across events                                                | see below                                  |
| <code>regressor &lt;name&gt; = &lt;init&gt;</code> | a state variable usable as an LSM regression feature                                           | <code>regressor perf = 1.0</code>          |
| <code>groups &lt;name&gt; = [A, B, C]</code>       | a named basket the rainbow aggregators operate on                                              | <code>groups all = [SPX, NDX]</code>       |
| <code>func &lt;name&gt;(params) { ... }</code>     | a user-defined value function, inlined at each call site                                       | see <a href="#">Functions</a>              |

**Static vectors, SIZE, and mutable {#kw-vector}**. The language has a clean 2×2 of vector forms — (compile-time vs runtime) × (immutable vs mutable):

|                   | immutable                     | mutable                            |
|-------------------|-------------------------------|------------------------------------|
| compile-time      | <code>let v[K] = [...]</code> | <code>mutable v[K] = [...]</code>  |
| runtime, per-path | —                             | <code>state { v[K] = init }</code> |

- **let vector** — a fixed-size, immutable list of compile-time *values* (not symbols — that's groups). The size `[K]` is optional; when given it is asserted against the literal (length mismatch / non-rectangular nested literal is a compile error). Nesting is allowed (`let g[2][3] = [[1,2,3],[4,5,6]]`). Elements may be constant expressions (`let w = [1/3, 1/3, 1/3]`). A subscript `v[i]` with a compile-time index folds to the literal element; a bare `v` used as a list argument (to a basket/aggregator/comprehension) expands to the literal list. It is pure compile-time sugar — it lowers to the inline literals and adds no runtime cost or state.
- **SIZE / LEN / LENGTH** (and `NROWS / NCOLS` for nested) — the compile-time length of any compile-time-known iterable: a `let/mutable` vector, a literal list, a groups name, a `let-bound` `schedule(...)` (its date count), or a state array (its declared slot count). It folds to an integer and may be a range bound, so for `j in range(0, SIZE(w))` stays length-safe. `SIZE(...)` as a **call** on a `schedule_div(...)` or a runtime per-path value is a compile error — those lengths are market-deferred / per-path and not known at lowering. (Inside a `schedule_div` body, the *bare* token `SIZE` is the engine-substituted dividend count — see the `schedule_div` section; and `COUNT` is unrelated: the nonzero-count reduction of Part 3.)
- **mutable scalar** — a compile-time counter, reassignable with `set k = k + 1`. It is a *single* value (the same for all paths and dates), resolved entirely at lowering, so it is **not** sim-id or time dependent and never reaches the engine. Its assignment RHS must

be compile-time constant (it may use `let`, other mutables, `SIZE`, arithmetic — but not an underlying, `state`, `t`, or any per-path value), and it may be assigned only in compile-time control flow (top level or an unrolled `for`), never under a runtime `if`. For a per-path counter that advances on a data-dependent condition, use `state + RUNNING_COUNT/RUNNING_SUM` instead.

- **mutable vector** — the same, element-wise (`set cpn[k] = cpn[k-1] + 0.0025`). Its niche is **compile-time recurrences** (element `k` depending on `k-1`), which a comprehension cannot express; for independent elements prefer `let + comprehension`. Boundary rule: if an element ever needs a runtime value (`set v[k] = SPX`), it must be `state`, not `mutable`.

```
# weighted basket with a length-safe loop
let w[3] = [0.25, 0.25, 0.5]
groups bk = [SPX, NDX, RTY]
events {
  at 1Y { receive 1000 * sum([w[j] * RATIO(bk[j]) for j in range(0, SIZE(w))]) }
}

# compile-time step-up coupon schedule via a mutable recurrence + counter.
# A plain schedule(start,end,freq) (or dates=...) has compile-time-known dates,
# so a mutable inside it UNROLLS at lowering and the counter advances per date.
mutable cpn[4] = [0.05, 0, 0, 0]      # 5% then +25bp each period
mutable k = 1
events {
  for t in schedule(start=1Y, end=4Y, freq=1Y) {
    at t {
      set cpn[k] = cpn[k-1] + 0.0025  # compile-time recurrence
      receive cpn[k-1] * 1000         # this period's coupon (pre-increment)
      set k = k + 1
    }
  }
}
```

**Mutables and `schedule(...)`.** A compile-time mutable advances per date when the loop is **unrolled at lowering**. This happens automatically for a compile-time `for v in [<list>/range loop` **and** for a `for v in schedule(...)` whose dates are computable at lowering — which is **every plain or calendar/bda-rolled `schedule`** (`start/end/freq, n=`, or `dates=...`), since the calendar roll is static (holiday calendar + `as_of`) and is enumerated via the engine's own date generator, so the unrolled dates match the template path exactly. In those cases the schedule is unrolled (its resolved size grows with the date count) so the mutable can take a different value at each date. The **one** exception is `schedule_div(...)`: its dates are dividend-driven (market-deferred) and not known at lowering, so a compile-time mutable there is a **compile error**. But you rarely need one — the engine provides the per-dividend index `current` (the counter) and the dividend count `SIZE` as bare tokens inside a `schedule_div` body, substituted when the dividend dates are known (see the `schedule_div` section). For a per-path counter use `state + RUNNING_COUNT`. A schedule **without** a mutable in its body keeps the compact single-template lowering (resolved size independent of date count) unchanged.

Note schedules include **both endpoints** by default, so `schedule(start=1Y, end=3Y, freq=1Y)` fires at 1Y, 2Y, and 3Y (three dates).

**State block.** Each entry is `name = init` (optionally `regressor name = init`). A state variable persists between events and is updated with `set`:

```
state {
  regressor perf = 1.0      # used as an LSM regression feature
  ki = 0.0                 # plain carry flag, not a regressor
  memory = 0.0
}
```

**baskets alias.** `baskets <name> = [...]` is an accepted alias for `groups` (singular `basket` / `group` are also accepted). It declares the same named basket that the rainbow aggregators (`WORST_OF`, `BEST_OF_EXCLUDING`, ...) operate on.

## State variables & regressors

A `state { ... }` block declares per-path variables that **persist across events** (carried from one dated event to the next on every path), initialised once at `as_of`. Each entry is `name = <init>`, where `<init>` is a number or an expression. State is the memory of a path-dependent product: running sums, barrier latches, coupon memory, the count of observations so far, and so on. A state variable is read like any other name and updated with `set`:

```
state {
  S_max = 0.0      # running maximum (lookback)
  memory = 0.0     # accrued unpaid coupon (snowball)
  ki = 0.0         # knock-in latch (0/1)
}
events {
  for t in schedule(start=6M, end=3Y, freq=S) {
    at t {
      set S_max = max(S_max, SPX)      # update the running max
      set ki = max(ki, INDIC(SPX < 60.0)) # latch once, stays 1
      set memory = memory + 0.02       # accrue
    }
  }
}
```

The `init` may be an expression and is evaluated once; updates inside events are ordinary `set` statements and run in source order. A `set` written **after** a payment in the same event is scheduled so the payment's amount sees the *pre-update* value (so you can pay this period's coupon and then roll the state forward in the same block).

**Regressors.** Marking a state variable as a **regressor** makes it a feature column in the Longstaff-Schwartz continuation-value regression used by `exercise` / `decide` / `callable` / `Bellman max(CV, ...)` events. Choosing good regressors (the state that actually drives the early-exercise boundary — spot, worst-of performance, a rate level, time-to-maturity proxies) is what makes the LSM estimate accurate. Three equivalent spellings are accepted:

```
state {
  regressor perf = 1.0      # preferred: the `regressor` prefix
  perf2 = 1.0 (regressor)  # legacy trailing-flag form (still parses)
  plain = 0.0              # NOT a regressor – just carried state
}
```

A plain state variable carries its value but is invisible to the regression; a `regressor` does both. For the Bellman `max(CV, ...)` form the engine **auto-infers** the regressor, so you often

need not mark anything; mark variables explicitly when you use the `decide { ... }` block or want a specific feature set. (You can also pass an explicit `regressors = [a, b]` list on a `decide`; see the optimal-stopping section.)

## Array state

State can be **array-valued**, declared `name[K] = init` where **K is an integer literal  $\geq 1$**  (a compile-time constant, not an expression). All K slots are initialised to the same `init` value. Array state is read and written by index with ordinary subscripts, and the index may itself be a per-path expression:

```
state {
    fixings[6] = 0.0          # 6 fixings, all start at 0
    cnt        = 0.0          # running index into the array
}
events {
    for t in schedule(start=3M, end=18M, freq=Q) {
        at t {
            set fixings[cnt] = SPX      # store this fixing in the current slot
            set cnt = cnt + 1           # advance the index
        }
    }
    at 18M {
        receive AVG([fixings[j] for j in range(0, 6)]) / 100.0
    }
}
```

The decisive property of array state is that the **script size is constant** regardless of `K`: a running counter (or a list comprehension over `range(0, K)`) plus indexed set expresses an N-asset or N-date construct (Asian baskets, the Himalaya lock-and-remove mechanism, per-date snapshots) without writing `K` separate statements. `set name[i] = ...` writes one slot; `name[i]` reads one slot; `name` used bare is the whole vector (usable in aggregators via a comprehension such as `AVG([name[j] for j in range(0, K)])`). The index may be a per-path expression. A `regressor` flag may be combined with array state in the same declaration grammar.

## User-defined functions

A `func` declares a **reusable value function** that can be called anywhere an expression is allowed (`receive`, `pay`, `set`, `decide/exercise` conditions, `knock_out` when, ...) and on **any** underlying you pass in. Functions are **pure** (they compute a value; they do not emit events or mutate state) and are **fully inlined** at each call site at compile time — after lowering, no `func` remains in the script, so they are a source-level convenience with zero runtime cost.

A function body is a sequence of `let` bindings, compile-time `for` loops, and `if/else` branches, ending in a `return`:

[illegible]



```

for i in range(0, K) { let acc = acc + max(S/100 - 1, 0) } # carried fold
return acc / K
}

```

Rules and semantics:

- **Body grammar.** Statements are `let <name> = <expr>`, `for <v> in <iterable> { ... }`, `if <cond> { ... } else { ... }`, and a terminal `return <expr>`. Every path through the body must reach a `return`. Locals are single-assignment (re-`let` to shadow, e.g. the carried accumulator); the full expression vocabulary — all operators, all built-in functions, ternaries, comprehensions, calls to other funcs — is allowed in every `<expr>`.
- **if/else is value selection, not control flow.** `if c { return a } else { return b }` lowers to the vectorised ternary `a if c else b`: **both** branches are evaluated on **every** path and masked, which is the correct (and only) semantics under Monte Carlo. There is no short-circuiting — an early `return` does not skip computation. An `if` without `else` is allowed only when a later `return` covers the fall-through (`if c { return a } return b`  $\equiv$  `if c { return a } else { return b }`).
- **Compile-time for.** The iterable is a literal list, a `range(...)`, or a group name, and is **unrolled at compile time** into a fold (`acc  $\rightarrow$  g(acc,  $x_0$ )  $\rightarrow$  g(that,  $x_1$ )  $\rightarrow$  ...`). The range/list bound may be a non-literal `let` as long as it **resolves to an integer at compile time** (e.g. `for i in range(0, K)` with `let K = 3`). `return` is not allowed *inside* a loop body — use a ternary for per-iteration conditional values.
- **Composition & defaults.** A `func` may call other `funcs` (expanded inside-out; recursion is rejected). Parameters may have defaults (`func capped(S, hi=0.2)`); a trailing default may be omitted at the call site. Arguments are positional.
- **Names.** A `func` may not shadow a built-in function name. Because `funcs` inline away, they never appear in the canonical/printed script (the expanded expression does).

**Cost note.** Inlining is by back-substitution, so a local referenced  $n$  times is substituted  $n$  times. This is semantically identical (`funcs` are pure) but can produce large lowered expressions for deeply nested `funcs` — fine for the engine (it is just an expression), worth knowing for very large fold unrolls.

## The event block and iterators

| Keyword                                             | Meaning                                                                      |
|-----------------------------------------------------|------------------------------------------------------------------------------|
| <code>events { ... }</code>                         | the ordered list of dated events                                             |
| <code>at &lt;date&gt; { ... }</code>                | a single event at one date                                                   |
| <code>for &lt;var&gt; in &lt;seq&gt; { ... }</code> | <b>loop:</b> repeat the block body at every date in <code>&lt;seq&gt;</code> |
| <code>schedule(start=..., end=..., freq=...)</code> | generate a periodic date sequence (named keys)                               |
| <code>continuous(start, end, steps=N)</code>        | a fine monitoring grid (for bridge/continuous barriers)                      |

The **for loop** is the single most important structural construct and is worth spelling out, because it is what makes a multi-date product's script *constant size* regardless of the number of observation dates:

```

events {
  for t in [0.5, 1.0, 1.5, 2.0, 2.5, 3.0] {      # explicit date list
    at t {

```



```

    set perf = RATIO(SPX, reset=false)
    skip_last receive (cpn if perf >= cb else 0.0)
    skip_last exercise { forced when perf >= ab; receive 1.0 + cpn }
    only_last receive (1.0 if perf >= rb else max(perf, 0.0))
  }
}
}

```

The loop variable `t` takes each value of the sequence in turn and is available as the event date. The sequence after `in` may be:

- an **explicit date list** `[0.5, 1.0, ...]` (floats, tenors "6M", or ISO dates);
- a **`schedule(start=..., end=..., freq=...)`** call (named keys; e.g. `for t in schedule(start=0, end=5, freq="6M")`);
- a **`continuous(0.0, T, steps=N)`** call — a fine grid for continuous monitoring;
- a **named** sequence bound earlier.

Inside the loop body, the **flow flags** restrict *which iterations* a statement fires on:

| Flag                    | Fires on                               | Typical use                            |
|-------------------------|----------------------------------------|----------------------------------------|
| <code>skip_last</code>  | every date <b>except</b> the final one | intermediate coupons / autocall checks |
| <code>only_last</code>  | <b>only</b> the final date             | maturity redemption                    |
| <code>skip_first</code> | every date except the first            | skip the to fixing                     |
| <code>only_first</code> | only the first date                    | initial fixing / premium               |

## Statements inside an event block

| Statement                                                   | Meaning                                                 | Example                                           |
|-------------------------------------------------------------|---------------------------------------------------------|---------------------------------------------------|
| <code>receive &lt;expr&gt;</code>                           | pay <expr> to the holder (discounted)                   | <code>receive max(S - K, 0)</code>                |
| <code>pay &lt;expr&gt;</code>                               | alias for a negative receive (holder pays); discounted  | <code>pay premium</code>                          |
| <code>receive_undisc &lt;expr&gt;</code>                    | pay <expr> to the holder <b>without discounting</b>     | <code>receive_undisc 1.0</code>                   |
| <code>pay_undisc &lt;expr&gt;</code>                        | holder pays <expr> <b>without discounting</b>           | <code>pay_undisc 0.2</code>                       |
| <code>set &lt;name&gt; = &lt;expr&gt;</code>                | update a state variable                                 | <code>set perf = S/100.0</code>                   |
| <code>exercise { ... }</code>                               | an LSM optimal-stopping / autocall decision (see below) |                                                   |
| <code>knock_in &lt;name&gt; when &lt;cond&gt;</code>        | latch a knock-in flag the first time <cond> is true     | <code>knock_in ki when S &lt;= B</code>           |
| <code>knock_out when &lt;cond&gt; [rebate &lt;e&gt;]</code> | terminate the path when <cond>; optional rebate cash    | <code>knock_out when S &gt;= B rebate 0.05</code> |
| <code>enter &lt;inst&gt; when &lt;cond&gt;</code>           | physically enter a declared instrument on exercise      | <code>enter swap when CV &lt; intrinsic</code>    |
| <code>cancel &lt;inst&gt; when &lt;cond&gt;</code>          | cancel/terminate an entered instrument                  | <code>cancel swap when ...</code>                 |
| <code>pay { ... }</code>                                    | a faithful raw-payment block (advanced)                 |                                                   |

## Cross-currency (quanto / compo) payments

A cashflow can be paid in a **currency other than the product's** by using the faithful `pay { ... }` block form with a `currency` field naming the **foreign cashflow currency**:

```
product CompoNote {
  currency = "USD"           # product (domestic) currency
  discount = 0.02
  underlyings = [SX5E]
  events {
    at 1.0 {
      # EUR-denominated equity payoff, settled into the USD deal:
      pay { amount = max(SX5E - 100.0, 0.0); currency = "EUR" }
    }
  }
}
```

When the `currency` differs from the product currency, the engine **multiplies the amount by the spot FX rate at the event date** to convert it into the product (domestic) currency before discounting and accumulating. The discount curve is **always** the product's domestic curve. This is the mechanism for **compo** (payoff in foreign units, converted at the prevailing FX) cashflows; a genuine **quanto** (foreign payoff converted at a *fixed* FX) is expressed by scaling the amount by a fixed rate in the domestic currency rather than tagging it foreign.

FX resolution is automatic: the engine looks for a registered `FXFactor` whose `domestic_currency` / `foreign_currency` attributes connect the two currencies. If the pairing is ambiguous or you want a specific factor, add an `fx` field naming it explicitly:

```
pay { amount = max(SX5E - 100.0, 0.0); currency = "EUR"; fx = "EURUSD" }
```

This requires a simulation model with the relevant FX factor bound; if none connects the foreign currency to the domestic one, compilation/evaluation raises a clear “no FX factor connecting ...” error.

The `currency` and (optional) `fx` fields are accepted on **all four** cashflow keywords — `receive`, `pay`, `receive_undisc`, `pay_undisc` — in either of two forms:

- the **block form** `receive { amount = <expr>; currency = "EUR"; fx = "EURUSD" }` (and likewise for the other three keywords); or
- a **trailing suffix** on the bare-expression statement, `receive <expr> currency "EUR" fx "EURUSD"` (the `fx` clause is optional).

The holder-sign convention is preserved: `receive` / `receive_undisc` pay the (FX-converted) amount **to** the holder, `pay` / `pay_undisc` pay it **from** the holder. The discounted forms (`receive` / `pay`) discount on the domestic curve; the `_undisc` forms do not discount. For FX-converted *performance* (rather than a single converted cashflow) the multi-currency basket builtins (`ABSOLUTE_BASKET` / `RELATIVE_BASKET` with `convert_fx`, \$3.4 / \$3.14) remain the natural tool.

```
# all four keywords accept the trailing currency suffix:
receive max(SX5E - 100.0, 0.0) currency "EUR"
pay 0.5 currency "EUR" fx "EURUSD"
receive_undisc 1.0 currency "EUR"
pay_undisc 0.2 currency "EUR"
```

## `exercise / autocall / callable / putable / decide` (optimal stopping)

These all express a **stopping / exercise decision**. At a decision event the engine runs a Longstaff-Schwartz regression to estimate the continuation value and compares it to the immediate payoff. They differ only in who optimises and whether the stop is forced.

## `CV / CONTINUATION_VALUE` — the continuation value

Inside a decision payoff, the reserved name **CV** (long form `CONTINUATION_VALUE`) stands for the **Longstaff-Schwartz continuation value** at the current decision date — the regression estimate of “what the deal is worth if I do *not* stop here.” It is one of four reserved names always in scope (no declaration needed): `CV / CONTINUATION_VALUE`, plus `EXERCISED` and `HIT` (per-path flags set by the engine’s stopping/barrier machinery).

The canonical use is the **Bellman exercise payoff**: a top-level `max` or `min` with `CV` as one of its two arguments. This exact shape is recognised by the resolver and routed to the engine’s native `american` event, which performs the LSM regression and auto-infers the regressor — you do not write a `decide` block or list regressors yourself:

- `receive max(CV, <intrinsic>)` — **holder** optimal exercise: stop and take the intrinsic whenever it beats continuing. Lowers to an `american` event.
- `receive min(CV, <intrinsic>)` — **issuer** optimal exercise (callable side): the issuer minimises, calling when continuing is more expensive than the call price.

```
# Bermudan put – holder exercises optimally at each date:
for t in schedule(start=1Y, end=5Y, freq=A) {
  at t { receive max(CV, max(K - SPX, 0.0)) }
}

# Issuer call at par against the continuation value:
at t { receive min(CV, 100.0) }
```

Only the **strict** two-argument `max(CV, X) / min(CV, X)` form is the Bellman trigger. A bare `CV`, or `CV + 1`, or `CV` buried deeper in an expression is **not** treated as a Bellman payoff (and the engine rejects a raw `CV` cashflow) — so use the `max/min` form, or the explicit `decide { ... }` block (below) when you need more control (custom regressors, polarity, an alive window). `CV` may also be referenced inside a `when/enter` condition (e.g. `enter S when CV < intrinsic`), where it compares the continuation value against an alternative for a physical switch; multi-date `enter/exercise` conditions are required to reference `CV`.

## `exercise { ... }` — the unified decision statement

Used inside an `at { }` block. Fields (each terminated by `;` or newline; all optional except an immediate payoff source):

- `forced when <cond>` — a **mandatory** stop wherever `<cond>` is true (no optimisation; this is the autocall barrier). Optional.
- `receive <expr>` — the immediate payoff on exercise (the “intrinsic”). This is also what the LSM regression compares against the continuation value.
- `into <instrument>` — **physical settlement** into a declared instrument. *Note: `exercise { into ... }` is parsed but not yet lowered by the resolver (it raises “exercise into is not wired yet; use `receive <amount>` for cash settlement”). For physical settlement today, use the `enter <name> when <cond>` statement (below), which is wired.*

- `issuer` — flag: the **issuer** optimises (polarity `min`, i.e. the holder is short the option, as in a callable bond). Absent  $\Rightarrow$  the **holder** optimises (polarity `max`, the default — American / putable / autocall).
- `by <party>` — attribute the decision to `bank` / `counterparty` (used by CCR to know whose option it is).
- `while <cond>` — the decision is only *available* (alive) where `<cond>` holds.

```
# Holder Bermudan put: optimally stop on max(K - S, 0) vs continue
exercise { receive max(100.0 - SPX, 0.0) }

# Autocall: forced redemption at par+coupon when worst-of >= 1.0
exercise { forced when perf >= 1.0; receive 1.0 + cpn }

# Issuer callable bond: the issuer (min) calls at the call price
exercise { issuer; receive 101.0 }

# Physically-settled Bermudan swaption: enter the swap when optimal
# (exercise { into S } is not yet wired – use `enter` for now)
enter S when CV < intrinsic
```

### `autocall { ... }` — forced (non-optimised) stop

Sugar for a purely **forced** stop with no continuation regression — the path terminates wherever the trigger condition holds, paying the value. **Both** fields are required: `when = <cond>` (the autocall trigger) and `pay = <amount>` (paid on the stop):

```
autocall { when = perf >= 1.0; pay = 1.0 }
```

In practice the `exercise { forced when ...; receive ... }` form above is an equivalent alternative; `autocall` is the compact block form.

### `callable { ... }` / `putable { ... }` — priced against a call/put price

Desugar to a `decide` with the issuer (`callable`, polarity `min`) or holder (`putable`, polarity `max`) optimising against a price given by `pay`. The required field is `pay = <amount>` (the call/put price); an optional `when = <cond>` restricts the eligibility window:

```
callable { pay = 100.0 }           # issuer may call at par (optimal)
callable { pay = 101.0; when = t >= 1.0 } # callable only from year 1
putable { pay = 99.0 }             # holder may put at 99
```

### `decide { ... }` — the explicit low-level form

The primitive all of the above desugar to. Fields (as `name = value`):

- `immediate = <expr>` — payoff if the path stops here.
- `alive = <cond>` — where the decision is available (default `True`).
- `forced = <cond>` (alias `forced_stop`) — where stopping is mandatory.
- `regressors = [name, ...]` — the state variables used as continuation-value regression features.
- `polarity = max | min` — holder optimises (`max`, default) or issuer (`min`).
- `controls = [(label, expr), ...]` — extra regression basis columns (advanced).

```

decide {
  immediate = conversion_ratio * SPX
  alive      = alive_now > 0
  regressors = [SPX]
  polarity   = max
}

```

`convertible { ... }` is the same machinery specialised to the holder's convert-vs-continue choice in a convertible bond.

---

## Instrument declarations (physical settlement)

A product that exercises *into* a tradable instrument declares it at the top of the `product` block and references it from an `exercise ... into <name>` (or `enter <name> when <cond>`) statement. The engine then values the entered instrument from the exercise date forward. Three instrument kinds exist: `swap`, `bond`, `forward`.

`swap <name> { ... }`

A vanilla or multi-leg interest-rate swap. The body is a mix of `key = value` settings and explicit `pay|receive <leg-type> { ... }` leg blocks.

**Single-leg shorthand settings** (a plain vanilla fixed/float swap):

- `maturity = <date>` — swap held from inception to this date; **or**
- `tenor = <length>` — for a swaption's underlying, length anchored to the exercise date.
- `fixed_rate = <rate>` — the fixed coupon (e.g. 3% or 0.03).
- `frequency = <freq>` — payment frequency (6M, 1Y, ...). Default 6M.
- `pay = fixed | float` — which leg the holder **pays** (`fixed` ⇒ payer swap).
- `float_spread = <rate>` — spread over the float index.
- `float = LIBOR | CMS | OIS` — the float index type (default LIBOR-style).
- `cms_tenor = <length>`, `cms_freq = <freq>` — for a CMS-float swap, the constant-maturity underlying-swap tenor and its frequency.
- `notional = <amount>` (default 1.0), `currency = "<ccy>"`.

```

swap S {
  maturity    = 10.0
  fixed_rate  = 3%
  frequency   = 6M
  pay         = fixed           # payer swap: pay fixed, receive float
  float       = LIBOR
}

```

**Multi-leg form** — one or more explicit `pay|receive <type> { ... }` leg blocks. Leg `<type>` is one of `fixed`, `float`, `cms`, `cms_spread`. Each leg block takes keys:

- common: `frequency = <freq>` (default S = semi-annual), `notional = <amt>`, `currency = "<ccy>"`, `exchange_notional = true|false` (exchange principal at start/end — cross-currency swaps).
- fixed leg: `rate = <rate>`.
- float leg: `index = <ccy/curve>` (alias forward), `spread = <rate>`, `fixing = in_advance | in_arrears` (compounding convention; `in_arrears` ⇒ compounded RFR).

- `cms leg: swap_tenor = <length>` (the constant-maturity tenor), `index`, `spread`, optional `swap_freq` and `swap_day_count`.
- `cms_spread leg: swap_tenor` and `swap_tenor2` (the two CMS tenors), `spread`.

```
# Cross-currency basis swap: USD float vs EUR float w/ notionals
swap XCCY {
  pay    float { index = "USD"; frequency = 3M; spread = 0.0;
                exchange_notional = true }
  receive float { index = "EUR"; frequency = 3M; spread = 0.0025;
                exchange_notional = true }
}

# CMS-spread leg vs fixed:
swap STEEPENER {
  receive cms_spread { swap_tenor = 10.0; swap_tenor2 = 2.0;
                      spread = 0.0; frequency = 1Y }
  pay    fixed      { rate = 0.01; frequency = 1Y }
}

# OIS leg (compounded in arrears):
swap OIS_SWAP {
  receive float { index = "USD"; fixing = in_arrears; frequency = 1Y }
  pay    fixed { rate = 0.025; frequency = 1Y }
}
```

**bond** <name> { ... }

A fixed-coupon bond, optionally **defaultable**. Keys:

- `maturity = <date>` — redemption date (required).
- `coupon = <rate>` — coupon rate (required; alias `fixed_rate`).
- `frequency = <freq>` — coupon frequency (default 1Y).
- `notional = <amount>` (default 100.0); `face_value` is also accepted for the redemption amount.
- `issuer = "<name>"` — makes it a **defaultable** bond: the engine survival-weights the coupons and integrates recovery at the default time.
- `recovery = <fraction>` — recovery rate on default (else taken from the issuer's curve).

```
# Risk-free coupon bond
bond B { maturity = 5.0; coupon = 4%; frequency = 1Y; notional = 100 }

# Defaultable bond (survival-weighted coupons + recovery on default)
bond RB { maturity = 5.0; coupon = 5%; issuer = "ACME"; recovery = 0.4 }
```

**forward** <name> { ... }

An equity or FX forward to settle into. Keys:

- `underlying = <asset>` — equity forward (settles into the asset); **or**
- `pair = "<CCY1CCY2>"` — FX forward (settles into a physical FX forward; `enter-ing` it lowers to `fx_physical_exercise`).
- `strike = <level>` — the forward strike (required).
- `maturity = <date>` — settlement date (required).
- `long = true|false` — long or short the forward (default true).
- `notional = <amount>` — optional.

```
forward F { underlying = SPX; strike = 100.0; maturity = 1.0; long = true }
forward FX { pair = "EURUSD"; strike = 1.10; maturity = 0.5 }
```

### **convertible <name> { ... } — convertible-bond instrument**

A convertible bond is declared as a top-level instrument with flat settings plus optional nested blocks. The complete set of flat settings (any other key is a compile error) is: `underlying`, `notional`, `maturity`, `coupon` (percent literal allowed, e.g. 2%), `frequency`, `ratio` (shares per bond), `currency`, `issuer` and `recovery` (for a defaultable issuer), `start`, `settlement`, and `mandatory_conversion`. The nested blocks are `convert`, `call`, `put`, `reset`, and `change_of_control`; each holds `key = value` fields plus, where applicable, the trigger clauses `contingent ...`, `soft ...`, and `hard ...`:

- `convert { window = [<from>, <to>]; contingent when <cond> }` — the conversion right over a date window, optionally contingent on a path condition. Inside a convertible's clauses, `conv_price` names the conversion price.
- `call { schedule = [...]; price = <pct>; soft when <cond> for N of last M days; hard from <date>; make_whole = true|false }` — the issuer call, with optional soft-call (conditional) and hard-call (from a date) provisions and a make-whole flag.
- `put { dates = [...]; price = <pct> }` — the holder put.
- `reset { dates = [...]; floor = <expr> }` — conversion-price reset with a floor.

```
convertible C {
  notional = 1000; maturity = 5Y; coupon = 2%; frequency = A
  underlying = ACME_EQ; ratio = 20.0
  issuer = "ACME"; recovery = 0.40
  convert { window = [1Y, 5Y]; contingent when ACME_EQ >= 1.30 * conv_price }
  call   { schedule = [2Y, 3Y, 4Y]; price = 102%
          soft when ACME_EQ >= 1.30 * conv_price for 20 of last 30 days
          hard from 4Y; make_whole = true }
  put    { dates = [3Y]; price = 100% }
  reset  { dates = [2Y, 4Y]; floor = 0.80 * conv_price }
}
```

(This is the instrument-*declaration* form; the in-events `convertible { ... }` keyword in the exercise section is the per-event holder decision.)

A convertible **self-expands**: declaring it generates its full event stream (coupons, redemption, and the windowed convert/call/put/reset decisions) automatically, so an `events { ... }` block is not required. By default the bond is issued at `t0`; its issue date can be deferred in two equivalent ways:

- the `start` setting — `start = 1Y` issues the bond 1 year forward; or
- an `at <date> enter <name>` statement in the events block — `at 1Y enter C` issues convertible C at 1Y.

Both shift the *entire* timeline (coupons, redemption, and every `window / schedule / dates` inside the block) relative to the issue date, and are exactly equivalent (identical events, identical price); an `at ... enter` overrides a `start =` setting if both are given. Unlike `swap / bond / forward`, `enter-ing` a convertible is **not** a physical-delivery decision (a convertible already contains its own optionality) — it only sets the issue date. `cancel` is not supported for a convertible; use a `put / call` clause inside the block instead.



```
# Deferred-issue convertible – issue date set in events (1Y fwd):
product DeferredCB {
  currency = "USD"; discount = 0.03
  convertible C {
    notional = 1000; maturity = 4Y; coupon = 3%; frequency = A
    underlying = ACME_EQ; ratio = 25.0
    convert { window = [1Y, 4Y]; contingent when ACME_EQ >= 1.30 * conv_price }
    call    { schedule = [2Y, 3Y]; price = 102%; hard from 3Y }
    put     { dates = [2Y]; price = 100% }
  }
  events { at 1Y enter C }      # same as `start = 1Y` on convertible
}
```

## Entering an instrument

```
# Enter the declared swap S when a per-path condition holds (wired):
enter S when CV < intrinsic;
# Cancel a previously-entered instrument:
cancel S when called;
# Alternatively, attribute the option to a party with a by-block
# (mutually exclusive with the `when` clause):
enter S { by bank }
cancel S { by counterparty }
```

**State of physical settlement.** Instrument *declarations* (swap/bond/ forward) and the enter/cancel statements are wired. The exercise { into <name> } form is parsed but not yet lowered — the resolver raises a clear error directing you to cash settlement (receive <amount>) or the enter statement. Reimplementations should accept the into token in the grammar but may defer its lowering.

## Part 3 — Built-in payoff functions

Every function below can be called inside a receive / set / exercise expression. All are **element-wise over Monte-Carlo paths**.

**Case-insensitivity.** Built-in **function names are case-insensitive**: max, MAX, Max, and mAx all resolve to the same function, as do running\_mean, RUNNING\_MEAN, and Running\_Mean. The resolver canonicalises any spelling to the function's upper-case form (which the engine always provides) before lowering. This applies to *all* built-in functions — arithmetic, aggregators, accumulators, rates, credit, everything in this Part.

Two things that are **not** case-folded: (1) **structural keywords** (product, state, events, at, for, receive, exercise, the flow flags, ...) — these are fixed lower-case tokens and must be written exactly; and (2) **identifiers you declare** — underlying names, state variables, let constants, groups names, and string labels (e.g. the first argument of RUNNING\_\* / SNAPSHOT / BARRIER\_SURVIVAL) — these are ordinary names and are matched exactly as written. Many functions also have **aliases** (e.g. avg = AVERAGE = MEAN); each entry lists them.

Each entry gives the **full signature** (including every keyword argument and its default) and a concrete **example** payoff line. Functions are positional-only unless a keyword is shown with `=`; the kwarg-bearing families are exactly those listed here with `kw=default`.

### 3.1 Arithmetic & shaping

Element-wise scalar functions. All accept and return per-path arrays.

- `max(a, b, ...)` / `min(a, b, ...)` — element-wise maximum / minimum of all arguments. `receive max(SPX - K, 0.0)`
- `abs(x)` — absolute value. `receive abs(S1 - S2)`
- `sqrt(x)` — square root. `set v = sqrt(realized)`
- `exp(x)` / `log(x)` —  $e^x$  and natural log (log alias LN). `set df = exp(-r * t)` · `set lr = log(SPX / s_prev)`
- `log10(x)`, `log2(x)`, `log1p(x)` ( $= \ln(1+x)$ ), `expm1(x)` ( $= e^x - 1$ ).
- `pow(x, p)` —  $x^p$ , identical to the `**` operator. `receive pow(SPX / s0, 2)`
- `sign(x)` —  $-1 / 0 / +1$ . `set d = sign(SPX - K)`
- `pos(x)` / `neg(x)` — positive part `max(x, 0)` / negative part `max(-x, 0)` (aliases `positive_part` / `negative_part`). `receive pos(SPX - K)`
- `ceil(x)` / `floor(x)` — round up / down. `set n = floor(perf)`
- `clamp(x, lo, hi)` — constrain to `[lo, hi]` (aliases `clip`, CLAMP, CLIP). `set p = clamp(perf, 0.0, 1.5)`
- `cap_at(x, c)` — `min(x, c)` (aliases `capped_at`, CAP\_AT). `receive cap_at(coupon, 0.08)`
- `floor_at(x, f)` — `max(x, f)` (aliases `floored_at`, FLOOR\_AT). `receive floor_at(perf, 0.0)`

### 3.2 Payoff & option shapes

- `call_payoff(S, K)` — `max(S - K, 0)` (alias CALL). `receive call_payoff(SPX, 100.0)`
- `put_payoff(S, K)` — `max(K - S, 0)` (alias PUT). `receive put_payoff(SPX, 100.0)`
- `call_spread(S, K1, K2)` — long-K1 / short-K2 call spread. `receive call_spread(SPX, 100, 120)`
- `straddle(S, K)` — `abs(S - K)`. `receive straddle(SPX, 100.0)`
- `collar(S, lo, hi)` — floor the payoff at `lo`, cap at `hi`. `receive collar(perf, 0.9, 1.1)`
- `digital(cond)` — 1 where `cond` else 0 (aliases DIGITAL, INDICATOR, `indic`, `indicator_of`). `receive 0.10 * digital(SPX >= 110)`
- `double_digital(S, lo, hi)` — 1 inside the band `[lo, hi]`, else 0. `receive double_digital(SPX, 95, 105)`
- `range_digital(S, lo, hi)` — corridor indicator (synonym of `double_digital`).
- `ramp(x, lo, hi)` — 0 below `lo`, linear up to 1 at `hi`, flat 1 above. `receive ramp(perf, 0.8, 1.0)`
- `ladder(x, [levels])` — locked-step payoff over the ascending levels. `receive ladder(perf, [1.1, 1.2, 1.3])`
- `step(x)` — Heaviside (1 if  $x \geq 0$ ) (alias HEAVISIDE). `receive step(SPX - K)`

### 3.3 Smoothed / differentiable shapes

Discontinuous payoffs (digitals, barriers, steps) make Monte-Carlo Greeks noisy and destabilise the LSM continuation-value regression. The smoothed family replaces a hard step with a differentiable transition of controllable width. Each function is documented below with its full signature, the mathematical formula it computes, every keyword, and an example.

`sigmoid(x, scale=1.0)`

The logistic function — a smooth 0→1 transition centred at  $x = 0$ :

$$\text{sigmoid}(x, \text{scale}) = \frac{1}{1 + e^{-x/\text{scale}}}$$

`scale` controls the transition width: **small** `scale` approaches a hard `step(x)`; **large** `scale` is gentle. (Note the sign: the argument is  $-x/\text{scale}$ , so increasing `scale` *widens* the transition.)

```
receive sigmoid(SPX - B)          # transition centred at barrier B
receive sigmoid(SPX - B, scale=0.5) # wider, smoother transition
```

`smooth_step(x, K, smoothing=None, kind=None, reference=1.0)` **and** `smooth_indicator(...)`

A differentiable replacement for `step(x - K)` / `digital(x >= K)`: a value rising smoothly from 0 to 1 as  $x$  crosses the level  $K$ . `smooth_indicator` is the same function under a second name. The transition half-width is

$$\delta = \text{smoothing} \cdot \text{reference}$$

(so `smoothing` is a *fraction of* `reference`, typically the inception spot `S0`). The `kind` keyword selects one of three transition shapes:

- `"call_spread"` (default) — a piecewise-linear ramp over  $[K-\delta, K+\delta]$ :

$$f(x) = \text{clip}\left(\frac{x - (K - \delta)}{2\delta}, 0, 1\right), \quad \delta = \text{smoothing} \cdot \text{reference}$$

- `"logistic"` — a logistic transition of width  $\delta$ :

$$f(x) = \frac{1}{1 + e^{-(x-K)/\delta}}$$

- `"tanh"` — a hyperbolic-tangent transition:

$$f(x) = \frac{1}{2} \left(1 + \tanh \frac{x-K}{\delta}\right)$$

Arguments:  $x$  (the observable),  $K$  (the threshold), `smoothing` (the half-width as a fraction of `reference`; `None`  $\Rightarrow$  a library default of  $\approx 1\%$  of `reference`), `kind` (the shape, default `"call_spread"`), `reference` (the scale, default 1.0).

```
# Knock-out indicator at S = 80, smoothed over  $\delta = 1\% \cdot 100 = 1.0$ :
receive smooth_step(SPX, 80, 0.01, reference=100)

# Logistic digital coupon at the 70% performance barrier:
receive 0.06 * smooth_step(perf, 0.70, 0.02, kind="logistic")
```

`call_spread(x, K, smoothing=None, reference=1.0)`

Shorthand for `smooth_step(x, K, smoothing, "call_spread", reference)` — the piecewise-linear smoothed step. Same `smoothing/reference` semantics.

```
receive call_spread(SPX, 100, 0.01, reference=100)
```

**softmax(beta, a, b, ...) and softmin(beta, a, b, ...)**

Smooth, differentiable approximations of `max` / `min`. **The first argument is the sharpness `beta`**, not a value:

$$\text{softmax}(\beta, x_1, \dots, x_n) = \frac{1}{\beta} \log \sum_{i=1}^n e^{\beta x_i}$$

$$\text{softmin}(\beta, x_1, \dots, x_n) = -\text{softmax}(\beta, -x_1, \dots, -x_n)$$

As  $\beta \rightarrow +\infty$ , `softmax` approaches the hard `max`; as  $\beta \rightarrow 0$  it approaches the average. `softmin` is `softmax` with negated inputs (equivalently, pass a negative  $\beta$  to `softmax`).

```
set wp = softmin(20, perf1, perf2)    # smooth worst-of, sharpness 20
set bp = softmax(20, S1, S2, S3)      # smooth best-of
set wp = softmax(-20, perf1, perf2)   # smooth min via  $\beta < 0$ 
```

**Aliases.** `SOFT_MAX` / `SOFTMAX` / `soft_max` and `SOFT_MIN` / `SOFTMIN` / `soft_min` are all accepted, as are `SMOOTH_STEP` / `SMOOTH_INDICATOR`, `CALL_SPREAD`, and `SIGMOID`. (And, like all functions, they are case-insensitive — see the note at the start of Part 3.)

### 3.4 Basket / rainbow aggregators

These operate across the members of a basket. A basket is supplied as a `groups`-declared name, a comma-separated argument list, or a list literal. When applied to a vectorised expression like `RATIO(all, reset=false)` the resolver distributes it over the group members, so the compiled product is identical to the explicit per-asset form.

#### Order statistics and selection.

- `WORST_OF(group)` (aliases `WORST`, `worst_of`) — the smallest member. `set wp = WORST_OF(RATIO(all, reset=false))`
- `BEST_OF(group)` (aliases `BEST`, `best_of`) — the largest member. `set bp = BEST_OF(RATIO(all, reset=false))`
- `KTH_BEST(group, k)` / `KTH_WORST(group, k)` — the k-th largest / smallest (1-based). `set second = KTH_BEST(all, 2)`
- `NTH_BEST(group, n)` / `NTH_WORST(group, n)` — synonyms of the above.
- `MEDIAN(group)` — the median member. `set m = MEDIAN(all)`
- `PERCENTILE(group, q)` / `QUANTILE(group, q)` — the q-quantile ( $q \in [0,1]$ ). `set p90 = PERCENTILE(all, 0.9)`

**Index returners** (which member, not its value).

- `ARGMAX_OF(group)` / `ARGMIN_OF(group)` — index of the best / worst member.
- `WORST_OF_IDX(group)` / `BEST_OF_IDX(group)` — same, explicit names. `set i = BEST_OF_IDX(all)`

#### Sums and means.

- `SUM(a, b, ...)` — sum of the arguments. `receive SUM(leg1, leg2)`

- `PROD(a, b, ...)` / `PRODUCT(a, b, ...)` — product. set `g = PROD(gross_rets)`
- `SUM_LOG(a, b, ...)` —  $\Sigma \log$  (geometric-basket building block).
- `AVERAGE(group)` (aliases `MEAN`, `AVG`, `avg`) — arithmetic mean. set `m = AVG(S1, S2, S3)`
- `SUM_BEST_K(group, k)` / `SUM_WORST_K(group, k)` (aliases `SUM_BEST`, `SUM_WORST`) — sum of the best / worst `k`. receive `SUM_BEST_K(all, 3)`
- `BASKET(weights, assets)` — weighted basket  $\Sigma w_i \cdot \text{asset}_i$ . Both arguments are lists of equal length. set `b = BASKET([0.5, 0.5], [SPX, NDX])`

### Dispersion / ranking.

- `VAR(group)` / `VARIANCE(group)` — population variance across members.
- `STDEV(group)` (aliases `STD`, `STDDEV`) — standard deviation.
- `RANGE(group)` — `max - min` (basket spread). set `s = RANGE(all)`
- `RMS(group)` — root-mean-square.
- `RANK_OF(group, member)` (alias `RANK`) — ordinal rank of a named member.
- `PCT_RANK(group, x)` (aliases `PERCENTILE_RANK`, `PCTRANK`) — percentile rank of `x` within the basket.
- `COUNT([c1, c2, ...])`, `ANY([...])`, `ALL([...])` — count / any / all of a list of boolean masks. set `n = COUNT([a, b, c])`

### Exclusion-aware aggregators (Himalaya / Altiplano lock-and-remove).

Each takes the basket plus an `exclude` argument — an index array (typically the `excl[]` state array) marking members already “locked out” on earlier dates. They all accept a `min_keep=0` keyword: the minimum number of members that must remain active when too many have been excluded (graceful degradation), defaulting to 0.

- `BEST_OF_EXCLUDING(group, exclude, min_keep=0)` / `WORST_OF_EXCLUDING(group, exclude, min_keep=0)` — best / worst over the members not in `exclude`. set `b = BEST_OF_EXCLUDING(RATIO(all, reset=false), excl)`
- `BEST_OF_IDX_EXCLUDING(group, exclude, min_keep=0)` / `WORST_OF_IDX_EXCLUDING(group, exclude, min_keep=0)` — the *index* of the best / worst surviving member (this is the value you append to `excl` to lock it). set `j = BEST_OF_IDX_EXCLUDING(perf_all, excl)`
- `EXCLUDE_CONT_BEST(group, exclude, min_keep=0)` / `EXCLUDE_CONT_WORST(group, exclude, min_keep=0)` — continuous-relaxation versions (smoothed lock-and-remove) for differentiable Himalaya Greeks.
- `AVG_EXCLUDING(group, exclude, min_keep=0)`, `SUM_EXCLUDING(...)`, `MEDIAN_EXCLUDING(...)`, `STDEV_EXCLUDING(...)` (aliases `STD_EXCLUDING`, `STDDEV_EXCLUDING`), `VAR_EXCLUDING(...)` (alias `VARIANCE_EXCLUDING`) — aggregate over the un-locked members only. set `m = AVG_EXCLUDING(RATIO(all, reset=false), excl)`

A worked Himalaya step (best performer locked and removed each date):

```
state {
  excl[3] = -1.0      # array state: indices locked so far (-1 = none)
  basket_sum = 0.0
}
events {
  for t in [1.0, 2.0, 3.0] {
    at t {
      set best_idx = BEST_OF_IDX_EXCLUDING(RATIO(all, reset=false), excl)
      set basket_sum = basket_sum
                      + BEST_OF_EXCLUDING(RATIO(all, reset=false), excl)
      set excl[t] = best_idx      # lock this date's winner out
    }
  }
}
```

```
at 3.0 { only_last receive basket_sum / 3.0 }  
}
```

### 3.5 Path-performance (ratio from a reference fixing)

The `RATIO` / `PERF` family converts spot to a performance relative to a stored reference fixing, with optional running cap/floor. The reference is captured on the first call per path.

**Keyword arguments:** `reset` (bool), `K` (strike offset), `cap`, `floor`.

- `RATIO(asset, reset=false, cap=None, floor=None)` — spot ÷ reference fixing. `reset=false` keeps the inception fixing (cumulative, autocallable-style); `reset=true` re-bases the reference to the current spot each call (local, cliquet-style). `cap/floor` bound the returned ratio. set `perf = RATIO(SPX, reset=false)`
- `PERF(asset, type="relative", K=1.0, cap=None, floor=None)` — the return form (`RATIO - 1` when `K=1`). `type` selects the performance definition ("`relative`" is the ratio form). set `r = PERF(SPX, cap=0.1, floor=-0.1)`
- `RATIO_SUM(asset, reset=false, cap=None, floor=None) / RATIO_PROD(asset, ...)` — cumulative sum / product of the per-call ratios.
- `PERF_SUM(asset, K=1.0, cap=None, floor=None) / PERF_PROD(asset, ...)` — cumulative capped/floored returns (cliquet accumulation). set `c = PERF_SUM(SPX, cap=0.05, floor=-0.05)`
- `RATIO_SUM_IF(asset, cond, ...)`, `PERF_SUM_IF(asset, cond, ...)`, `RATIO_PROD_IF`, `PERF_PROD_IF` — accumulate only on calls where `cond` is true (regime-gated). set `c = PERF_SUM_IF(SPX, SPX > 90, cap=0.05)`

**“Get the value of an underlying at a time” — there is no `SPOT(asset, t)`.** A bare underlying name is its simulated value at the current event’s date, so read a level by placing the event there, not by passing a date. To use a level *elsewhere*, capture it with `SNAPSHOT(label, asset)` in the `at t` block and reference the label later; for a *historical observed* fixing use `PAST_FIX(name, when) / FIXING(name, when)`. “Performance since inception” is already `RATIO(asset, reset=false)`.

### 3.6 Running accumulators (self-seeding per-path state)

Each maintains hidden per-path state keyed by a **string label** (first argument), so a single call inside a `for` loop accumulates across all iterations. **Keyword argument:** `init` (the seed value). The `_IF` variants take the **condition as the second argument**, then the value.

- `RUNNING_MIN(label, value, init=None)` — running minimum. Alias `INF`. The idiomatic discrete knock-in tracker: set `ki = INDIC(INF("wmin", perf) < 0.6)`
- `RUNNING_MAX(label, value, init=None)` — running maximum. Alias `SUP`. set `hi = SUP("hi", SPX)`
- `RUNNING_SUM(label, value, init=0.0)` — running sum. set `tot = RUNNING_SUM("acc", cpn)`
- `RUNNING_MEAN(label, value, init=0.0)` — running mean (arithmetic Asian average). Alias `RUNNING_AVG`. set `avg = RUNNING_MEAN("avg", SPX)`
- `RUNNING_PROD(label, value, init=1.0)` — running product. Alias `RUNNING_PRODUCT`. set `comp = RUNNING_PROD("c", 1 + r)`
- `RUNNING_SUM_LOG(label, value, init=0.0)` — running  $\Sigma \log$  (geometric Asian).

- `RUNNING_COUNT(label, init=0.0)` — count of events seen (no value argument). set `n = RUNNING_COUNT("n")`
- `RUNNING_SUM_IF(label, cond, value, init=0.0)` — accumulate the value only on calls where `cond` is true. Same shape for `RUNNING_PROD_IF`, `RUNNING_MEAN_IF`, `RUNNING_SUM_LOG_IF`. set `s = RUNNING_SUM_IF("s", SPX > 90, cpn)`
- `RUNNING_COUNT_IF(label, cond, init=0.0)` — count of calls where `cond` holds (range-accrual day counter). set `d = RUNNING_COUNT_IF("d", (SPX > 95) & (SPX < 105))`

### 3.7 Barrier / corridor survival (continuous Brownian-bridge monitoring)

Per-path probability the barrier was **not** breached between observation dates, computed via the Brownian-bridge no-hit factor. The function self-manages the previous spot and time across calls (so one call per fine-grid step accumulates the survival product). The terminal knock-in flag is `1 - surv`.

```
BARRIER_SURVIVAL(label, value, barrier, direction, monitoring="discrete", sigma=None,
smoothing=None, kind=None, reference=1.0, init=1.0, var_mode="cross_path",
var_half-life=None)
```

- `label` — string state key.
- `value` — the monitored observable (spot / ratio).
- `barrier` — the barrier level.
- `direction` — "down" (knock when `value` falls through `barrier`) or "up".
- `monitoring` — "discrete" (check only at call dates) or "continuous" (Brownian-bridge between calls).
- `sigma` — per-path volatility used by the bridge; if `None`, auto-sourced from the model / path dispersion per `var_mode`.
- `smoothing`, `kind`, `reference` — smoothing of the breach indicator (as in `smooth_step`); `reference` is the scale.
- `init` — survival-probability seed (default 1.0).
- `var_mode` — how `sigma` is estimated when not given ("cross\_path" default).
- `var_halflife` — EWMA half-life for the variance estimate, if applicable.

```
set surv = BARRIER_SURVIVAL("ki", SPX, 60.0, "down",  
                             monitoring="continuous", sigma=0.25)  
only last set ki = 1.0 - surv
```

```
CORRIDOR_SURVIVAL(label, value, lower, upper, monitoring="discrete", sigma=None,
var mode="cross path", var halflife=None, ...)
```

Two-sided version: survival probability of staying inside the corridor [lower, upper]. Same monitoring/sigma semantics.

[illegible]



### 3.8 Realised-moment accumulators (variance / vol products)

Running realised moments of log-returns. **Keyword argument:** `annualization` (trading-day factor, default 252). The `_IF` variants gate on a condition.

- `REALIZED_VAR(label, value, annualization=252)` — running realised variance. Aliases `REALISED_VAR`, `REALIZED_VARIANCE`. set `rv = REALIZED_VAR("rv", SPX)`
- `REALIZED_VOL(label, value, annualization=252)` —  $\sqrt{\text{realised variance}}$ . set `vol = REALIZED_VOL("v", SPX)`
- `REALIZED_QV(label, value, annualization=252)` — quadratic variation.
- `REALIZED_QV_CROSS(label, value_x, value_y, annualization=252)` — cross quadratic variation (correlation swaps). set `c = REALIZED_QV_CROSS("c", SPX, NDX)`
- `REALIZED_VAR_IF(label, value, cond, annualization=252)` (and `_VOL_IF`, `_QV_IF`) — regime-gated realised moment. set `rv = REALIZED_VAR_IF("rv", SPX, SPX > 90)`

### 3.9 Rates functions

- `LIBOR(currency, t_start, t_end, tenor=None)` — forward IBOR fixing over `[t_start, t_end]`. `tenor` names the index when it differs from `t_end - t_start` (defaults to that span with a 14-day snap tolerance). receive `tau * LIBOR("USD", t, t + 0.5)`
- `CMS(currency, t_start, n_payments, freq=1.0, tenor=None)` — constant-maturity swap rate of an underlying swap with `n_payments` periods of length `freq` years. receive `tau * CMS("USD", t, 10, 1.0)`
- `OIS(currency, t_start, t_end)` — OIS rate over the period. receive `tau * OIS("USD", t, t + 0.25)`
- `RFR(currency, t_start, t_end, index=None)` — compounded risk-free rate in arrears; `index` overrides the per-currency canonical RFR. receive `tau * RFR("USD", t, t + 0.25)`
- `DF(currency, t_pay)` — discount factor from now to `t_pay`. receive `DF("USD", 3.0) * 1.0`
- `FORWARD(asset, t)` — forward price/level at `t`. Alias `FWD`. set `f = FORWARD(SPX, 1.0)`
- `SWAP(...)` — par swap rate / swap PV. Accepts the leg-dict form `SWAP(legs=[{...}, ...])` or the vanilla shortcut `SWAP(maturity=..., frequency=..., fixed_rate=..., side=..., notional=..., discount=..., spread=...)`. receive `SWAP(maturity=5, frequency="6M", fixed_rate=0.03)`
- `INTERP(x, xs, ys)` — linear interpolation of `ys` over knots `xs` at `x`. Aliases `LINTERP`, `LERP`. set `r = INTERP(t, [0, 1], [0.02, 0.03])`

### 3.10 Credit functions

- `IS_ALIVE(issuer)` — 1 while `issuer` has not defaulted, 0 after. receive `IS_ALIVE("ACME") * cpn`
- `RECOVERY(issuer)` — recovery rate realised at the default time. receive `just_def * RECOVERY("ACME") * face`
- `HAZARD(issuer)` — instantaneous default intensity. set `h = HAZARD("ACME")`
- `JUST_DEFAULTED(issuer, alive_prev)` — 1 on the step `issuer` defaults (given the previous-step survival indicator). set `jd = JUST_DEFAULTED("ACME", alive_prev)`
- `BOND(coupon_rate=..., maturity=..., frequency=..., notional=1.0, issuer_name=..., recovery_rate=...)` — survival-weighted defaultable-bond PV at the current event date (all keyword arguments; exactly one of `coupon_rate` for a fixed bond). Recovery is integrated at the default time. receive `BOND(coupon_rate=0.04, maturity=5, issuer_name="ACME")`

- `TRANCHE_LOSS(names, attach, detach, weights=None, notional=1.0)` — loss in the tranche slice `[attach, detach]` of the weighted portfolio, as a fraction of the tranche width ( $\in [0,1]$  per path). set `L = TRANCHE_LOSS(book, 0.03, 0.07)`
- `INDEX_SPREAD_NOTIONAL(names, weights=None)` — outstanding (un-defaulted) notional of a credit index. set `n = INDEX_SPREAD_NOTIONAL(book)`

### 3.11 Inflation & dividends

- `YOY_INFLATION(index, t_start, t_end, nominal=..., real=...)` — year-on-year inflation rate of the CPI index. `nominal/real` override the registry currency hints from the CPI factor. receive `tau * YOY_INFLATION("CPI", t, t + 1)`
- `ZC_INFLATION_SWAP_RATE(index, t_start, t_end, nominal=..., real=...)` — zero-coupon breakeven rate. set `br = ZC_INFLATION_SWAP_RATE("CPI", 0, 5)`
- The dividend macros `DIV_AMOUNT`, `FWD_DIV_AMOUNT`, `DIV_C`, `DIV_Y`, `DIV_T_EX`, `DIV_T_PAY`, `SUM_FWD_DIVS`, `SUM_REALIZED_DIVS` are documented in §4.2 (they are used inside / alongside a `schedule_div` block).

### 3.12 Closed-form analytics (inner valuations)

- `BS_EURO_CALL(F, K, vol, t, df) / BS_EURO_PUT(F, K, vol, t, df)` — Black-Scholes European price from forward `F`, strike `K`, vol, time `t`, and discount factor `df`. For an inner option inside a structured payoff. receive `BS_EURO_CALL(FORWARD(SPX, T), 100, 0.2, T, DF("USD", T))`

$$C = Se^{-qT}N(d_1) - Ke^{-rT}N(d_2), \quad d_1 = \frac{\ln(S/K) + (r - q + \frac{1}{2}\sigma^2)T}{\sigma\sqrt{T}}, \quad d_2 = d_1 - \sigma\sqrt{T}$$

- `BACHELIER_EURO_CALL(F, K, vol, t, df) / BACHELIER_EURO_PUT(...)` — normal-model European price (rates options). `vol` is a normal (absolute) vol.

$$C = e^{-rT}[(F - K)N(d) + \sigma\sqrt{T}\phi(d)], \quad d = \frac{F - K}{\sigma\sqrt{T}}, \quad F = Se^{rT}$$

### 3.13 Selection, control & lookup

- `where(cond, a, b)` — element-wise select; identical to the ternary `a if cond else b`. Alias `WHERE`. receive `where(perf >= cb, cpn, 0.0)`
- `if_(cond, a, b)` — select alias (`IF_`, `ifelse`, `IFELSE`). receive `if_(ki > 0.5, perf, 1.0)`
- `piecewise(conds, values)` — first-true multi-branch select over equal-length lists. receive `piecewise([c1, c2], [v1, v2])`
- `SNAPSHOT(label, value)` — store `value` into per-path state under `label` **at this event** and return it; the way to capture a simulated level (e.g. spot at `t0`) for reuse later. at `0.0 { set s0 = SNAPSHOT("s0", SPX) }`
- `PAST_FIX(name, when=None)` — historical observed fixing from the bound `MarketData` at date/tenor/year-fraction `when` (negative = past; `None` = the current event date). Alias `FIXING`. Requires `market_data` at compile time. receive `SPX / PAST_FIX("SPX", "2025-01-01")`
- `FIX(name, ...)` — dispatcher: returns the current snapshot value for an equity/FX/rate-factor name, or routes rate helpers (`FIX("LIBOR", ...)`, `FIX("DF", ...)`, `FIX("FORWARD", ...)`). set `s = FIX("SPX")`

### 3.14 Additional credit, basket & statistics primitives

These functions are part of the engine vocabulary and round out the credit, multi-currency basket, and running-statistics families above.

#### Credit (single-name and pool).

- `DEFAULTED(issuer)` —  $1 - \text{IS\_ALIVE}(\text{issuer})$ ; 1 once the issuer has defaulted. set `d = DEFAULTED("ACME")`
- `INTENSITY(issuer)` — alias of `HAZARD(issuer)`; the instantaneous default intensity  $\lambda(t)$ . set `lam = INTENSITY("ACME")`
- `FWD_SURVIVAL(issuer, T)` — the path-conditional forward survival probability  $\hat{S}(t_{\text{now}}, T)$  to horizon `T` given the current credit state. Alias `Q_SURVIVE`. set `q = FWD_SURVIVAL("ACME", 5.0)`
- `FWD_SURVIVAL_BOND(issuer, T)` — the bond-measure forward survival (recovery-adjusted variant used in defaultable-bond PVs). Alias `Q_SURVIVE_BOND`. set `qb = FWD_SURVIVAL_BOND("ACME", 5.0)`
- `BASKET_LOSS(names, weights=None)` — weighted portfolio loss  $\sum w_i \cdot (1 - R_i) \cdot (1 - A_i)$  over the obligors `names` (loss-given-default times default indicator). set `L = BASKET_LOSS(book, [0.5, 0.5])`
- `FIRST_TO_DEFAULT(names)` — 1 if **any** obligor in `names` has defaulted (first-to-default trigger). set `ftd = FIRST_TO_DEFAULT(book)`
- `NUM_DEFAULTED(names)` — count of defaulted obligors in `names` (per-path float); use for nth-to-default products via `NUM_DEFAULTED(pool) >= n`. set `k = NUM_DEFAULTED(book)`

(`IS_ALIVE`, `RECOVERY`, `HAZARD`, `JUST_DEFAULTED`, `BOND`, `TRANCHE_LOSS`, `INDEX_SPREAD_NOTIONAL` are documented in §3.10.)

#### Multi-currency / performance baskets.

- `ABSOLUTE_BASKET(weights, components, currency=None)` — price basket  $\sum w_i \cdot S_i(t) \cdot \text{FX}_i(t)$ , converting each component from its own currency into the basket currency (default = deal currency); same-currency components are a no-op. FX is resolved by triangulation through the simulated FX factors. set `b = ABSOLUTE_BASKET([0.5, 0.5], [SPX, SX5E], currency="USD")`
- `RELATIVE_BASKET(weights, components, currency=None, convert_fx=False)` — performance basket  $\sum w_i \cdot S_i(t) / S_{i,0}$  (dimensionless, default). With `convert_fx=True` it includes the FX return  $\sum w_i \cdot (S_i(t) \cdot \text{FX}_i(t)) / (S_{i,0} \cdot \text{FX}_i(0))$ , i.e. an unhedged / quanto-compo performance basket. set `p = RELATIVE_BASKET([0.5, 0.5], [SPX, SX5E])`

#### Accrued performance & risk statistics.

- `PERF_ACCRUED(asset, type="relative", K=1.0, cap=None, floor=None)` — like `PERF`, but **gated to a schedule window**: returns 0 if the current date is before the first fixing or after the last fixing of the accrual schedule. set `r = PERF_ACCRUED(SPX, cap=0.1, floor=-0.1)`
- `RATIO_ACCRUED(asset, cap=None, floor=None)` — the ratio form of `PERF_ACCRUED` (schedule-window-gated `RATIO`). set `r = RATIO_ACCRUED(SPX)`
- `SHARPE_RATIO(label, value, annualization=252, rf=0.0)` — the running, annualised Sharpe ratio of `value`'s log-returns, accumulated under the string `label`; `rf` is the per-annum risk-free rate subtracted from the mean. Aliases `SHARPE`, `SHARP_RATIO`. set `sr = SHARPE_RATIO("sr", SPX, 252, 0.02)`

**British / American spellings.** Every `REALIZED_*` function has an identical `REALISED_*` alias (`REALISED_VAR`, `REALISED_VOL`, `REALISED_QV`, `REALISED_QV_CROSS`, and their `_IF` variants), and the long forms `REALIZED_VARIANCE` / `REALISED_VARIANCE`, `REALIZED_VOLATILITY` / `REALISED_VOLATILITY`, `REALIZED_QUADRATIC_VARIATION` / `REALISED_QUADRATIC_VARIATION` are accepted. Combined with case-insensitivity, `realised_vol`, `REALISED_VOL`, and `Realized_Volatility` all resolve to the same function.

### 3.15 Typed signature index (argument names & types)

Argument **names** are the canonical DSL parameters (from the function descriptions above and the curated market/credit/accumulator forms); argument **types** are: `number`, `int`, `date` (year-fraction or tenor), `tenor` (a tenor token like `6M`), `string`, `list`, `bool`, `condition`. `...` = variadic; `name: type = default` is an optional **keyword** argument (only functions in the engine's kwarg whitelist); `[name: type]` is an optional **positional** argument. Every name below is parse-checked against the engine. Auto-generated by `tools/gen_typed_signatures.py`.

#### Conditional

| function            | typed signature                                                   |
|---------------------|-------------------------------------------------------------------|
| <code>IF</code>     | <code>IF(cond: condition, then: number, else_: number)</code>     |
| <code>IFELSE</code> | <code>IFELSE(cond: condition, then: number, else_: number)</code> |
| <code>IF_</code>    | <code>IF_(cond: condition, then: number, else_: number)</code>    |
| <code>WHERE</code>  | <code>WHERE(...)</code> (variadic / positional, arity (1, 3))     |

#### Credit index / tranche

| function                           | typed signature                                                                                                                                                                                                               |
|------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <code>ABSOLUTE_BASKET</code>       | <code>ABSOLUTE_BASKET(weights: list, components: number, [currency: string])</code>                                                                                                                                           |
| <code>BASKET_LOSS</code>           | <code>BASKET_LOSS(names: list, [weights: list])</code>                                                                                                                                                                        |
| <code>BOND</code>                  | <code>BOND(coupon_rate: number = ..., maturity: date = ..., frequency: tenor = ..., notional: number = 1.0, issuer_name: number = ..., recovery_rate: number = ...)</code>                                                    |
| <code>CDO_VALUE</code>             | <code>CDO_VALUE(index: string, attach: number, detach: number, spread: number, schedule: list, config: string, effective: date, upfront: number = None, is_upfront_payer: bool = True, nominal_exchange: bool = False)</code> |
| <code>FWD_SURVIVAL_BOND</code>     | <code>FWD_SURVIVAL_BOND(issuer: string, T: number)</code>                                                                                                                                                                     |
| <code>INDEX_SPREAD_NOTIONAL</code> | <code>INDEX_SPREAD_NOTIONAL(name, ...: number, weights: list)</code>                                                                                                                                                          |
| <code>RELATIVE_BASKET</code>       | <code>RELATIVE_BASKET(weights: list, components: number, [currency: string], [convert_fx: number])</code>                                                                                                                     |
| <code>TRANCHE_LOSS</code>          | <code>TRANCHE_LOSS(name, ...: number, attach: number, detach: number, weights: list, notional: number)</code>                                                                                                                 |

## Credit per-name / survival

| function          | typed signature                                                                                 |
|-------------------|-------------------------------------------------------------------------------------------------|
| BARRIER_SURVIVAL  | BARRIER_SURVIVAL('label': number, value: number, level[, monitoring: number = , sigma=, ...])   |
| CORRIDOR_SURVIVAL | CORRIDOR_SURVIVAL('label': number, value: number, lo: number, hi[, monitoring: number = , ...]) |
| DEFAULTED         | DEFAULTED(name: string)                                                                         |
| FIRST_TO_DEFAULT  | FIRST_TO_DEFAULT(name, ...: number)                                                             |
| FWD_SURVIVAL      | FWD_SURVIVAL(name: string, t_start: date, t_end: date)                                          |
| HAZARD            | HAZARD(name: string)                                                                            |
| INTENSITY         | INTENSITY(name: string)                                                                         |
| IS_ALIVE          | IS_ALIVE(name: string)                                                                          |
| JUST_DEFAULTED    | JUST_DEFAULTED(name: string, prev_alive: list)                                                  |
| NUM_DEFAULTED     | NUM_DEFAULTED(name, ...: number)                                                                |
| Q_SURVIVE         | Q_SURVIVE(name: string, t_start: date, t_end: date)                                             |
| RECOVERY          | RECOVERY(name: string)                                                                          |

## Dividends

| function       | typed signature               |
|----------------|-------------------------------|
| DIV_AMOUNT     | DIV_AMOUNT(asset: string)     |
| FWD_DIV_AMOUNT | FWD_DIV_AMOUNT(asset: string) |

## Inflation

| function               | typed signature                                                   |
|------------------------|-------------------------------------------------------------------|
| YOY_INFLATION          | YOY_INFLATION(index: string, t_start: date, t_end: date)          |
| ZC_INFLATION_SWAP_RATE | ZC_INFLATION_SWAP_RATE(index: string, t_start: date, t_end: date) |

## Math / scalar

| function            | typed signature                                                             |
|---------------------|-----------------------------------------------------------------------------|
| ABS                 | ABS(x: number)                                                              |
| BACHELIER_EURO_CALL | BACHELIER_EURO_CALL(F: number, K: number, vol: number, t: date, df: number) |
| BACHELIER_EURO_PUT  | BACHELIER_EURO_PUT(...)                                                     |
| BS_EURO_CALL        | BS_EURO_CALL(F: number, K: number, vol: number, t: date, df: number)        |
| BS_EURO_PUT         | BS_EURO_PUT(F: number, K: number, vol: number, t: date, df: number)         |
| CEIL                | CEIL(x: number)                                                             |
| CLIP                | CLIP(x: number, lo: number, hi: number)                                     |
| EXP                 | EXP(x: number)                                                              |

| function | typed signature                                                    |
|----------|--------------------------------------------------------------------|
| EXPM1    | EXPM1(x: number)                                                   |
| FLOOR    | FLOOR(x: number)                                                   |
| INTERP   | INTERP(x: number, xs: number, ys: number)                          |
| LERP     | LERP(x: number, x0: number, x1: number, y0: number, y1: number)    |
| LINTERP  | LINTERP(x: number, x0: number, x1: number, y0: number, y1: number) |
| LN       | LN(x: number)                                                      |
| LOG      | LOG(x: number)                                                     |
| LOG10    | LOG10(x: number)                                                   |
| LOG1P    | LOG1P(...) (variadic / positional, arity (1, 2))                   |
| LOG2     | LOG2(...) (variadic / positional, arity (1, 2))                    |
| POW      | POW(x: number, n: int)                                             |
| SIGN     | SIGN(x: number)                                                    |
| SQRT     | SQRT(x: number)                                                    |

### Order statistics (rainbow)

| function              | typed signature                                                           |
|-----------------------|---------------------------------------------------------------------------|
| ARGMAX_OF             | ARGMAX_OF(group: list)                                                    |
| ARGMIN_OF             | ARGMIN_OF(group: list)                                                    |
| BEST                  | BEST(group: list)                                                         |
| BEST_OF               | BEST_OF(group: list)                                                      |
| BEST_OF_EXCLUDING     | BEST_OF_EXCLUDING(group: list, exclude: number, min_keep: number = 0)     |
| BEST_OF_IDX           | BEST_OF_IDX(group: list)                                                  |
| BEST_OF_IDX_EXCLUDING | BEST_OF_IDX_EXCLUDING(group: list, exclude: number, min_keep: number = 0) |
| EXCLUDE_CONT_BEST     | EXCLUDE_CONT_BEST(group: list, exclude: number, min_keep: number = 0)     |
| EXCLUDE_CONT_WORST    | EXCLUDE_CONT_WORST(group: list, exclude: number, min_keep: number = 0)    |
| KTH_BEST              | KTH_BEST(group: list, k: int)                                             |
| KTH_WORST             | KTH_WORST(group: list, k: int)                                            |
| NTH_BEST              | NTH_BEST(group: list, n: int)                                             |
| NTH_WORST             | NTH_WORST(group: list, n: int)                                            |
| RANK                  | RANK(...) (variadic / positional, arity (1, None))                        |
| RANK_OF               | RANK_OF(group: list, member: number)                                      |
| SUM_BEST              | SUM_BEST(...) (variadic / positional, arity (1, None))                    |
| SUM_BEST_K            | SUM_BEST_K(group: list, k: int)                                           |
| SUM_WORST             | SUM_WORST(...) (variadic / positional, arity (1, None))                   |
| SUM_WORST_K           | SUM_WORST_K(group: list, k: int)                                          |
| WORST                 | WORST(group: list)                                                        |
| WORST_OF              | WORST_OF(group: list)                                                     |
| WORST_OF_EXCLUDING    | WORST_OF_EXCLUDING(group: list, exclude: number, min_keep: number = 0)    |

| function               | typed signature                                                            |
|------------------------|----------------------------------------------------------------------------|
| WORST_OF_IDX           | WORST_OF_IDX(group: list)                                                  |
| WORST_OF_IDX_EXCLUDING | WORST_OF_IDX_EXCLUDING(group: list, exclude: number, min_keep: number = 0) |

### Path accumulators (state-label first)

| function                        | typed signature                                                                                                   |
|---------------------------------|-------------------------------------------------------------------------------------------------------------------|
| INF                             | INF(label: string, value: number [, cond: condition], init: number = 0.0)                                         |
| PERF                            | PERF(asset: string, type: number = "relative", K: number = 1.0, cap: number = None, floor: number = None)         |
| PERF_ACCRUED                    | PERF_ACCRUED(asset: string, type: number = "relative", K: number = 1.0, cap: number = None, floor: number = None) |
| PERF_PROD                       | PERF_PROD(asset: string, ...)                                                                                     |
| PERF_PROD_IF                    | PERF_PROD_IF(label: string, value: number, cond: condition, init: number = 0.0)                                   |
| PERF_SUM                        | PERF_SUM(asset: string, K: number = 1.0, cap: number = None, floor: number = None)                                |
| PERF_SUM_IF                     | PERF_SUM_IF(asset: string, cond: condition, ...)                                                                  |
| RATIO                           | RATIO(all: list, reset: bool = false)                                                                             |
| RATIO_ACCRUED                   | RATIO_ACCRUED(asset: string, cap: number = None, floor: number = None)                                            |
| RATIO_PROD                      | RATIO_PROD(asset: string, ...)                                                                                    |
| RATIO_PROD_IF                   | RATIO_PROD_IF(label: string, value: number, cond: condition, init: number = 0.0)                                  |
| RATIO_SUM                       | RATIO_SUM(asset: string, reset: bool = false, cap: number = None, floor: number = None)                           |
| RATIO_SUM_IF                    | RATIO_SUM_IF(asset: string, cond: condition, ...)                                                                 |
| REALISED_QUADRATIC_VARIATION    | REALISED_QUADRATIC_VARIATION(label: string, value: number [, cond: condition], init: number = 0.0)                |
| REALISED_QUADRATIC_VARIATION_IF | REALISED_QUADRATIC_VARIATION_IF(label: string, value: number, cond: condition, init: number = 0.0)                |
| REALISED_QV                     | REALISED_QV(label: string, value: number [, cond: condition], init: number = 0.0)                                 |
| REALISED_QV_CROSS               | REALISED_QV_CROSS(label: string, value: number [, cond: condition], init: number = 0.0)                           |
| REALISED_QV_IF                  | REALISED_QV_IF(label: string, value: number, cond: condition, init: number = 0.0)                                 |
| REALISED_VAR                    | REALISED_VAR(label: string, value: number [, cond: condition], init: number = 0.0)                                |
| REALISED_VARIANCE               | REALISED_VARIANCE(label: string, value: number [, cond: condition], init: number = 0.0)                           |



| function                        | typed signature                                                                                    |
|---------------------------------|----------------------------------------------------------------------------------------------------|
| REALISED_VARIANCE_IF            | REALISED_VARIANCE_IF(label: string, value: number, cond: condition, init: number = 0.0)            |
| REALISED_VAR_IF                 | REALISED_VAR_IF(label: string, value: number, cond: condition, init: number = 0.0)                 |
| REALISED_VOL                    | REALISED_VOL(label: string, value: number [, cond: condition], init: number = 0.0)                 |
| REALISED_VOLATILITY             | REALISED_VOLATILITY(label: string, value: number [, cond: condition], init: number = 0.0)          |
| REALISED_VOLATILITY_IF          | REALISED_VOLATILITY_IF(label: string, value: number, cond: condition, init: number = 0.0)          |
| REALISED_VOL_IF                 | REALISED_VOL_IF(label: string, value: number, cond: condition, init: number = 0.0)                 |
| REALIZED_QUADRATIC_VARIATION    | REALIZED_QUADRATIC_VARIATION(label: string, value: number [, cond: condition], init: number = 0.0) |
| REALIZED_QUADRATIC_VARIATION_IF | REALIZED_QUADRATIC_VARIATION_IF(label: string, value: number, cond: condition, init: number = 0.0) |
| REALIZED_QV                     | REALIZED_QV(label: string, value: number, annualization: number = 252)                             |
| REALIZED_QV_CROSS               | REALIZED_QV_CROSS(label: string, value_x: number, value_y: number, annualization: number = 252)    |
| REALIZED_QV_IF                  | REALIZED_QV_IF(label: string, value: number, cond: condition, init: number = 0.0)                  |
| REALIZED_VAR                    | REALIZED_VAR(label: string, value: number, annualization: number = 252)                            |
| REALIZED_VARIANCE               | REALIZED_VARIANCE(label: string, value: number [, cond: condition], init: number = 0.0)            |
| REALIZED_VARIANCE_IF            | REALIZED_VARIANCE_IF(label: string, value: number, cond: condition, init: number = 0.0)            |
| REALIZED_VAR_IF                 | REALIZED_VAR_IF(label: string, value: number, cond: condition, annualization: number = 252)        |
| REALIZED_VOL                    | REALIZED_VOL(label: string, value: number, annualization: number = 252)                            |
| REALIZED_VOLATILITY             | REALIZED_VOLATILITY(label: string, value: number [, cond: condition], init: number = 0.0)          |
| REALIZED_VOLATILITY_IF          | REALIZED_VOLATILITY_IF(label: string, value: number, cond: condition, init: number = 0.0)          |
| REALIZED_VOL_IF                 | REALIZED_VOL_IF(label: string, value: number, cond: condition, init: number = 0.0)                 |

| function           | typed signature                                                                           |
|--------------------|-------------------------------------------------------------------------------------------|
| RUNNING_AVG        | RUNNING_AVG(label: string, value: number [, cond: condition], init: number = 0.0)         |
| RUNNING_AVG_IF     | RUNNING_AVG_IF(label: string, value: number, cond: condition, init: number = 0.0)         |
| RUNNING_COUNT      | RUNNING_COUNT(label: string, init: number = 0.0)                                          |
| RUNNING_COUNT_IF   | RUNNING_COUNT_IF(label: string, cond: condition, init: number = 0.0)                      |
| RUNNING_MAX        | RUNNING_MAX(label: string, value: number, init: number = None)                            |
| RUNNING_MEAN       | RUNNING_MEAN(label: string, value: number, init: number = 0.0)                            |
| RUNNING_MEAN_IF    | RUNNING_MEAN_IF(label: string, value: number, cond: condition, init: number = 0.0)        |
| RUNNING_MIN        | RUNNING_MIN(label: string, value: number, init: number = None)                            |
| RUNNING_PROD       | RUNNING_PROD(label: string, value: number, init: number = 1.0)                            |
| RUNNING_PRODUCT    | RUNNING_PRODUCT(label: string, value: number [, cond: condition], init: number = 0.0)     |
| RUNNING_PRODUCT_IF | RUNNING_PRODUCT_IF(label: string, value: number, cond: condition, init: number = 0.0)     |
| RUNNING_PROD_IF    | RUNNING_PROD_IF(label: string, value: number, cond: condition, init: number = 0.0)        |
| RUNNING_SUM        | RUNNING_SUM(label: string, value: number, init: number = 0.0)                             |
| RUNNING_SUM_IF     | RUNNING_SUM_IF(label: string, cond: condition, value: number, init: number = 0.0)         |
| RUNNING_SUM_LOG    | RUNNING_SUM_LOG(label: string, value: number, init: number = 0.0)                         |
| RUNNING_SUM_LOG_IF | RUNNING_SUM_LOG_IF(label: string, value: number, cond: condition, init: number = 0.0)     |
| SHARPE             | SHARPE(label: string, value: number [, cond: condition], init: number = 0.0)              |
| SHARPE_RATIO       | SHARPE_RATIO(label: string, value: number, annualization: number = 252, rf: number = 0.0) |
| SHARP_RATIO        | SHARP_RATIO(label: string, value: number [, cond: condition], init: number = 0.0)         |
| SNAPSHOT           | SNAPSHOT(label: string, asset: string)                                                    |
| SUP                | SUP(label: string, value: number [, cond: condition], init: number = 0.0)                 |

## Payoff primitives

| function         | typed signature                                             |
|------------------|-------------------------------------------------------------|
| CALL             | CALL(value: number, strike: number)                         |
| CALL_PAYOFF      | CALL_PAYOFF(value: number, strike: number)                  |
| CALL_SPREAD      | CALL_SPREAD(value: number, lo: number, hi: number)          |
| CAPPED_AT        | CAPPED_AT(x: number, cap: number)                           |
| CAP_AT           | CAP_AT(x: number, cap: number)                              |
| CLAMP            | CLAMP(x: number, lo: number, hi: number)                    |
| COLLAR           | COLLAR(x: number, floor: number, cap: number)               |
| DIGITAL          | DIGITAL(value: number, strike: number)                      |
| DOUBLE_DIGITAL   | DOUBLE_DIGITAL(value: number, lo: number, hi: number)       |
| FLOORED_AT       | FLOORED_AT(x: number, floor: number)                        |
| FLOOR_AT         | FLOOR_AT(x: number, floor: number)                          |
| HEAVISIDE        | HEAVISIDE(x: number)                                        |
| INDIC            | INDIC(cond: condition)                                      |
| INDICATOR        | INDICATOR(cond: condition)                                  |
| INDICATOR_OF     | INDICATOR_OF(cond: condition)                               |
| LADDER           | LADDER(value: number, levels: list)                         |
| NEG              | NEG(...) (variadic / positional, arity (1, 1))              |
| NEGATIVE_PART    | NEGATIVE_PART(...) (variadic / positional, arity (1, 1))    |
| PIECEWISE        | PIECEWISE(...) (variadic / positional, arity (3, 3))        |
| POS              | POS(...) (variadic / positional, arity (1, 1))              |
| POSITIVE_PART    | POSITIVE_PART(...) (variadic / positional, arity (1, 1))    |
| PUT              | PUT(value: number, strike: number)                          |
| PUT_PAYOFF       | PUT_PAYOFF(value: number, strike: number)                   |
| RAMP             | RAMP(...) (variadic / positional, arity (1, 1))             |
| RANGE_DIGITAL    | RANGE_DIGITAL(...) (variadic / positional, arity (3, 3))    |
| SIGMOID          | SIGMOID(...) (variadic / positional, arity (1, 2))          |
| SMOOTH_INDICATOR | SMOOTH_INDICATOR(...) (variadic / positional, arity (2, 5)) |
| SMOOTH_STEP      | SMOOTH_STEP(...) (variadic / positional, arity (2, 5))      |
| STEP             | STEP(...) (variadic / positional, arity (1, 1))             |
| STRADDLE         | STRADDLE(...) (variadic / positional, arity (2, 2))         |

## Rates & fixings

| function | typed signature                                                                               |
|----------|-----------------------------------------------------------------------------------------------|
| CMS      | CMS(currency: string, t_start: date, n_payments: int, freq: tenor = 1.0, tenor: tenor = None) |
| DF       | DF(currency: string, t_pay: date)                                                             |
| FIX      | FIX(name: string, value[, ...: number])                                                       |
| FIXING   | FIXING(name: string, when: number)                                                            |
| FORWARD  | FORWARD(asset: string, t: date)                                                               |

| function | typed signature                                                          |
|----------|--------------------------------------------------------------------------|
| LIBOR    | LIBOR(currency: string, t_start: date, t_end: date, tenor: tenor = None) |
| OIS      | OIS(index: string, t_start: date, t_end: date)                           |
| PAST_FIX | PAST_FIX(name: string, when: number)                                     |
| RFR      | RFR(currency: string, t_start: date, t_end: date, index: string = None)  |
| SWAP     | SWAP(currency[, ...: number])                                            |

## Reductions & statistics

| function         | typed signature                                                   |
|------------------|-------------------------------------------------------------------|
| ALL              | ALL(...: ...)                                                     |
| ANY              | ANY(...: ...)                                                     |
| AVERAGE          | AVERAGE(group: list)                                              |
| AVG              | AVG(group: list)                                                  |
| AVG_EXCLUDING    | AVG_EXCLUDING(group: list, exclude: number, min_keep: number = 0) |
| BASKET           | BASKET(weights: list, assets: list)                               |
| COUNT            | COUNT(c1, c2, ...: number)                                        |
| MAX              | MAX(a: number, b: number, ...)                                    |
| MAXIMUM          | MAXIMUM(...) (variadic / positional, arity (0, None))             |
| MEAN             | MEAN(...) (variadic / positional, arity (0, None))                |
| MEDIAN           | MEDIAN(group: list)                                               |
| MEDIAN_EXCLUDING | MEDIAN_EXCLUDING(...)                                             |
| MIN              | MIN(a: number, b: number, ...)                                    |
| MINIMUM          | MINIMUM(...) (variadic / positional, arity (0, None))             |
| PCTRANK          | PCTRANK(...) (variadic / positional, arity (1, None))             |
| PCT_RANK         | PCT_RANK(group: list, x: number)                                  |
| PERCENTILE       | PERCENTILE(group: list, q: number)                                |
| PERCENTILE_RANK  | PERCENTILE_RANK(...) (variadic / positional, arity (1, None))     |
| PROD             | PROD(a: number, b: number, ...)                                   |
| PRODUCT          | PRODUCT(a: number, b: number, ...)                                |
| QUANTILE         | QUANTILE(group: list, q: number)                                  |
| RANGE            | RANGE(group: list)                                                |
| RMS              | RMS(group: list)                                                  |
| SOFTMAX          | SOFTMAX(...) (variadic / positional, arity (1, None))             |
| SOFTMIN          | SOFTMIN(...) (variadic / positional, arity (1, None))             |
| SOFT_MAX         | SOFT_MAX(...) (variadic / positional, arity (1, None))            |
| SOFT_MIN         | SOFT_MIN(...) (variadic / positional, arity (1, None))            |
| STD              | STD(...) (variadic / positional, arity (0, None))                 |
| STDDEV           | STDDEV(...) (variadic / positional, arity (0, None))              |
| STDDEV_EXCLUDING | STDDEV_EXCLUDING(...) (variadic / positional, arity (2, 3))       |
| STDEV            | STDEV(group: list)                                                |
| STDEV_EXCLUDING  | STDEV_EXCLUDING(...)                                              |

| function           | typed signature                                               |
|--------------------|---------------------------------------------------------------|
| STD_EXCLUDING      | STD_EXCLUDING(...) (variadic / positional, arity (2, 3))      |
| SUM                | SUM(a: number, b: number, ...)                                |
| SUM_EXCLUDING      | SUM_EXCLUDING(...)                                            |
| SUM_LOG            | SUM_LOG(a: number, b: number, ...)                            |
| VAR                | VAR(group: list)                                              |
| VARIANCE           | VARIANCE(group: list)                                         |
| VARIANCE_EXCLUDING | VARIANCE_EXCLUDING(...) (variadic / positional, arity (2, 3)) |
| VAR_EXCLUDING      | VAR_EXCLUDING(...)                                            |

## Part 4 — Dates, schedules, and iterators

### Schedule key reference — `schedule(...)` / `schedule_div(...)` (typed)

Valid keys: `start`, `end`, `n`, `frequency`, `freq`, `stub`, `dates`, `calendar`, `bda`, `day_count`, `dcc` (aliases: `freq == frequency`, `day_count == dcc`).

| key                                                    | type        | notes                                                     |
|--------------------------------------------------------|-------------|-----------------------------------------------------------|
| <code>start</code>                                     | date-atom   | tenor 3M or ISO date; schedule anchor                     |
| <code>end</code>                                       | date-atom   | tenor 5Y or ISO date; schedule end                        |
| <code>freq</code> / <code>frequency</code>             | tenor token | 6M, 3M, 1Y ...                                            |
| <code>n</code>                                         | int         | number of periods (alt. to <code>end</code> )             |
| <code>day_count</code> / <code>dcc</code>              | string      | "ACT/365", "30/360" ...                                   |
| <code>stub</code>                                      | token       | stub handling                                             |
| <code>dates</code>                                     | [date,...]  | explicit date list (alt. to <code>start/end/freq</code> ) |
| <code>calendar</code>                                  | token       | holiday calendar                                          |
| <code>bda</code>                                       | token       | business-day adjustment                                   |
| <code>underlying</code>                                | string      | ( <code>schedule_div</code> ) dividend underlying         |
| <code>drive_by</code>                                  | string      | ( <code>schedule_div</code> ) ex or pay date driver       |
| <code>obs_time</code>                                  | string      | ( <code>schedule_div</code> ) observation-time convention |
| <code>include_first</code> / <code>include_last</code> | bool        | ( <code>schedule_div</code> ) include endpoints           |

Example (parse-verified):

```
for t in schedule(start=3M, end=5Y, freq=6M, day_count="ACT/365") { at t { receive 1.0 } }
```

Endpoints are **inclusive**.

A date in an `at <date>` slot (or a `schedule` bound) may be written in any of these forms, all resolved against `as_of`:

| Form                  | Example | Meaning                           |
|-----------------------|---------|-----------------------------------|
| float (year fraction) | 1.5     | 1.5 years from <code>as_of</code> |

| Form                            | Example                               | Meaning                                                |
|---------------------------------|---------------------------------------|--------------------------------------------------------|
| tenor                           | 6M, 3M, 2W, 5D, 1Y                    | calendar tenor (Y A M W D Q S units)                   |
| compound / chained tenor        | 1Y+6M, 1Y6M, 6M+1D                    | sum of tenor chunks                                    |
| ISO date                        | "2027-06-12"                          | absolute calendar date                                 |
| quoted form of any of the above | "18M", "1.5"                          | same atom, quoted (matches <code>as_of</code> )        |
| t0 (name)                       | t0                                    | year-fraction 0, i.e. the <code>as_of</code> date      |
| bare loop variable              | t (inside <code>for t in ...</code> ) | the current iteration's date                           |
| negative / past tenor           | -3M, -0.5                             | a date <i>before</i> <code>as_of</code> (past fixings) |

**No date arithmetic in the slot.** The `at` slot takes a bare **name** (`t`, `t0`) or an **absolute** date/tenor — it does **not** accept arithmetic on a name. `at t-3M`, `at t + 0.5`, and `at (t - 0.25)` all fail to parse. To offset relative to the loop date, do the arithmetic **inside the payoff expression** instead: write `at t { receive f(t - 0.25) }` — expressions like `t - tau` are fine on the right of `receive/pay/set`, just not in the date slot itself.

#### 4.1 `schedule(...)` — periodic date generator

`schedule` has **two distinct forms**, and they are easy to confuse:

**(a) Iterator form** — `for <var> in schedule(...)` { ... }. Generates a date sequence the `for` loop walks. Keys (all optional except the bounds):

| Key (aliases)                             | Meaning                                                        | Example                            |
|-------------------------------------------|----------------------------------------------------------------|------------------------------------|
| <code>start</code>                        | first date (float / tenor / ISO)                               | <code>start=0.0</code>             |
| <code>end</code>                          | last date                                                      | <code>end=5.0</code>               |
| <code>freq</code> / frequency             | period between dates                                           | <code>freq="6M"</code>             |
| <code>n</code>                            | number of periods (alternative to <code>freq</code> )          | <code>n=10</code>                  |
| <code>stub</code>                         | stub handling ("short_front", "long_back", ...)                | <code>stub="short_front"</code>    |
| <code>dates</code>                        | an explicit date list (overrides <code>start/end/freq</code> ) | <code>dates=[0.5, 1.0, 1.5]</code> |
| <code>calendar</code>                     | holiday calendar name                                          | <code>calendar="TARGET"</code>     |
| <code>bda</code>                          | business-day adjustment ("following", "modfollowing", ...)     | <code>bda="modfollowing"</code>    |
| <code>day_count</code> / <code>dcc</code> | day-count convention for accrual                               | <code>day_count="ACT/360"</code>   |

```
for t in schedule(start=0.0, end=5.0, freq="6M", day_count="ACT/360") {
  at t { receive tau * LIBOR("USD", t, t + 0.5) }
}
```

**(b) Block form** — `schedule(...)` { ... } (no `for`). The same keys, but the block body is emitted once per generated date with the loop variable available as the event date; used when you want the schedule to drive the events directly rather than binding a named variable.

## 4.2 `schedule_div(...)` — discrete-dividend schedule

`schedule_div` iterates over the **discrete-dividend schedule of a named underlying**, generating one event per dividend in a `[start, end]` window. It requires `market_config` (carrying the underlying's `DividendSpec`) to be passed at compile time. Write it as a `for` iterator — `for <var> in schedule_div(...) { ... }` — symmetric with `for ... in schedule(...)`; the loop variable binds to each dividend's driving date (see "Iterator form" below). A standalone-block form without a loop variable, `schedule_div(...) { ... }`, is also accepted as a shorthand when the body never needs the date. Keys:

| Key                                       | Meaning                                                                                       | Default                  |
|-------------------------------------------|-----------------------------------------------------------------------------------------------|--------------------------|
| <code>underlying</code>                   | the equity whose dividends to iterate                                                         | — (required)             |
| <code>start / end</code>                  | ex-date window (always filtered by ex-date)                                                   | —                        |
| <code>include_first / include_last</code> | include the boundary dividends                                                                | <code>True / True</code> |
| <code>drive_by</code>                     | when the flow fires: <code>"ex_date"</code> or <code>"pay_date"</code> (controls discounting) | <code>"pay_date"</code>  |
| <code>obs_time</code>                     | observation time used by <code>FWD_DIV_AMOUNT</code>                                          | <code>t0</code>          |

Inside a `schedule_div` body, these **dividend macros** are available:

| Macro                       | Signature                                               | Meaning                                                                                                           |
|-----------------------------|---------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------|
| <code>DIV_AMOUNT</code>     | <code>DIV_AMOUNT(asset)</code>                          | path-realised dividend $C_i + Y_i \cdot S_{\{t_{ex^-}\}}$ (cum-div spot captured automatically)                   |
| <code>FWD_DIV_AMOUNT</code> | <code>FWD_DIV_AMOUNT(asset)</code>                      | compile-time deterministic $C_i + Y_i \cdot F^S(\text{obs\_time}, t_{ex^-})$ from the analytic forward            |
| <code>DIV_C</code>          | <code>DIV_C</code> or <code>DIV_C(asset)</code>         | the current dividend's cash component $C_i$ (bare scalar; the call form is accepted and lowers to the bare token) |
| <code>DIV_Y</code>          | <code>DIV_Y</code> or <code>DIV_Y(asset)</code>         | the current dividend's proportional (yield) component $Y_i$ (bare scalar; call form accepted)                     |
| <code>DIV_T_EX</code>       | <code>DIV_T_EX</code> or <code>DIV_T_EX(asset)</code>   | ex-date of the current dividend                                                                                   |
| <code>DIV_T_PAY</code>      | <code>DIV_T_PAY</code> or <code>DIV_T_PAY(asset)</code> | pay-date of the current dividend                                                                                  |
| <code>current</code>        | <code>current</code> (bare)                             | the <b>0-based index of the current dividend</b> in the window (the per-dividend counter)                         |
| <code>SIZE</code>           | <code>SIZE</code> (bare)                                | the <b>total number of dividends</b> the schedule expands to                                                      |

Because `DIV_C` / `DIV_Y` are bare scalars they **compose in arithmetic**: `DIV_C(SPX) + DIV_Y(SPX) * SPX` is a valid expression (the call form is a convenience that lowers to the bare identifiers `DIV_C` / `DIV_Y`). `DIV_AMOUNT` and `FWD_DIV_AMOUNT` genuinely need the asset argument and stay call-form.



**current** and **SIZE** — the per-dividend counter. A `schedule_div`'s dividend dates come from the market's dividend spec, so they are **not** known at lowering (a compile-time mutable counter is therefore impossible here, and is rejected). Instead the engine substitutes two index tokens **per dividend at expansion time**, when the dates are known: `current` (the 0-based dividend index, i.e. the counter you would otherwise want a mutable for) and `SIZE` (the dividend count). Both are bare identifiers, so they **compose in arithmetic and as vector indices** — e.g. `receive coupons[current]` with `let coupons[K] = [...]` gives a per-dividend table lookup, and `current / (SIZE - 1)` gives a 0→1 progress ramp. (`SIZE(x)` as a **call** still folds at compile time for the enumerable iterables in the static-vector section; only the *bare* `SIZE` token inside a `schedule_div` body is the engine-substituted dividend count.)

And two **aggregate** dividend macros that work **outside** any `schedule_div` block:

| Macro                          | Signature                                         | Meaning                                                                                                                                                 |
|--------------------------------|---------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------|
| <code>SUM_FWD_DIVS</code>      | <code>SUM_FWD_DIVS(asset, start, end)</code>      | compile-time scalar $\sum_i (C_i + Y_i \cdot F^S(0, t_{ex}, i^-))$ for ex-dates in the window                                                           |
| <code>SUM_REALIZED_DIVS</code> | <code>SUM_REALIZED_DIVS(asset, start, end)</code> | path-dependent realised-dividend sum (auto-injects a hidden <code>schedule_div + RUNNING_SUM</code> ); matches <code>SUM_FWD_DIVS</code> in expectation |

**Example — a dividend swap leg** (pays the realised dividends collected over 3y):

```
product DivSwap {
  currency = "USD"
  underlyings = [SPX]
  state { acc = 0.0 }
  events {
    for t in schedule_div(underlying=SPX, start=0.0, end=3.0, drive_by=pay_date) {
      set acc = RUNNING_SUM("acc", DIV_AMOUNT(SPX))
    }
    at 3.0 { only_last receive acc }
  }
}
```

**Example — using `DIV_C` / `DIV_Y` explicitly** (split the cash and proportional parts, e.g. to pay only the yield component):

```
for t in schedule_div(underlying=SPX, start=0.0, end=2.0) {
  receive DIV_Y * SPX          # proportional part only ( $Y_i \cdot S_{ex}$ )
  set cash = RUNNING_SUM("c", DIV_C)  # accumulate the fixed cash part
}
```

**Iterator form — the loop-variable binding.** In `for <var> in schedule_div(...)` the loop variable binds to the current dividend's **driving date**, and the body event fires at that instant, so referencing the underlying samples the spot there:

- `drive_by = ex_date` → the loop variable binds to `t_ex - 1e-9`, the **cum-div instant** (just before the dividend drop), so the underlying inside the body is the **pre-drop** spot. This makes the component reconstruction **exact**: `DIV_C(asset) + DIV_Y(asset) · asset == DIV_AMOUNT(asset)`.
- `drive_by = pay_date` → the loop variable binds to `t_pay` (after the drop, as paid).

```

product DivSwap {
  currency = "USD"
  underlyings = [SPX]
  state { realised = 0.0 }
  events {
    # t binds to t_ex - 1e-9; SPX is the pre-drop (cum-div) spot, so
    # DIV_C + DIV_Y * SPX reconstructs DIV_AMOUNT exactly.
    for t in schedule_div(underlying=SPX, start=0.0, end=3.0, drive_by=ex_date) {
      set realised = realised + (DIV_C(SPX) + DIV_Y(SPX) * SPX)
    }
    at 3.0 { receive realised }
  }
}

```

The standalone-block form (no loop variable) behaves identically except that no date variable is bound; the loop-variable binding and event-instant shift apply only to the `for ... in schedule_div(...)` form.

**Example — forward dividends as a single scalar** (dividend-futures style):

```

at 3.0 { receive SUM_FWD_DIVS(SPX, 0.0, 3.0) }

```

### 4.3 `continuous(...)` — fine monitoring grid

`continuous(start, end, steps=N)` produces a uniform fine grid of `N` points — the monitoring grid for continuous-barrier / Brownian-bridge products:

```

for u in continuous(0.0, 3.0, steps=200) {
  at u { set surv = BARRIER_SURVIVAL("ki", SPX, 60.0, "down",
                                     monitoring="continuous", sigma=0.25) }
}

```

### 4.4 Generic event types (engine-level, top-level events)

A handful of event types are **engine-level**: they are written as a top-level event `<type> { date = ...; ... }` in the `events` block (not as a statement inside an `at { }`). The most useful is the undiscounted payment.

| Event type                                                                                                                                                     | Form                                                                                                                                                                                              | Meaning                                                                   |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------|
| <code>pay_undisc</code>                                                                                                                                        | <code>pay_undisc { date = ...; amount = ... }</code> (top-level event),<br>or the <code>receive_undisc</code> / <code>pay_undisc</code> statements inside an <code>at { }</code> block (see §4.5) | pay amount <b>without discounting</b> ( <code>discounted = False</code> ) |
| <code>american</code>                                                                                                                                          | <code>american { ... }</code>                                                                                                                                                                     | American/Bermudan optimal-stopping (sugar over decide)                    |
| <code>convertible</code>                                                                                                                                       | <code>convertible { ... }</code>                                                                                                                                                                  | convertible-bond holder decision                                          |
| <code>bond_physical_exercise</code> ,<br><code>swap_physical_exercise</code> ,<br><code>fx_physical_exercise</code> ,<br><code>equity_physical_exercise</code> | <code>&lt;type&gt; { ... }</code>                                                                                                                                                                 | physical-settlement exercise into a declared instrument                   |

**Example — an undiscounted payment** (pays the intrinsic at 1y with no discount factor applied):

```
product Undisc {
  currency = "USD"
  underlyings = [SPX]
  events {
    pay_undisc { date = 1.0; amount = max(SPX - 100.0, 0) }
  }
}
```

#### 4.5 `receive_undisc` / `pay_undisc` statements (undiscounted cashflows)

In addition to the top-level `pay_undisc { ... }` event (§4.4), the DSL provides two **statement** keywords usable directly inside an `at { }` block, exactly like `receive` / `pay` but **without discounting**:

| Statement                                | Sign            | Discounting         | Example                                  |
|------------------------------------------|-----------------|---------------------|------------------------------------------|
| <code>receive &lt;expr&gt;</code>        | + to holder     | discounted          | <code>receive max(SPX - 100.0, 0)</code> |
| <code>pay &lt;expr&gt;</code>            | – (holder pays) | discounted          | <code>pay premium</code>                 |
| <code>receive_undisc &lt;expr&gt;</code> | + to holder     | <b>undiscounted</b> | <code>receive_undisc 0.5</code>          |
| <code>pay_undisc &lt;expr&gt;</code>     | – (holder pays) | <b>undiscounted</b> | <code>pay_undisc 0.2</code>              |

Each undiscounted statement emits a standalone `pay_undisc` engine event (`discounted = False`). Unlike consecutive `receive`/`pay` statements — which net into a single discounted cashflow at the instant — an undiscounted statement is always its own event, so discounted and undiscounted legs can coexist in the same `at { }`:

```
product MixedDiscounting {
  currency = "USD"
  discount = 0.02
  underlyings = [SPX]
  events {
    at 3.0 {
      receive max(SPX - 100.0, 0) # discounted intrinsic
      receive_undisc 0.5         # paid in full, no discount factor
      pay_undisc 0.2             # holder pays 0.2 undiscounted
    }
  }
}
```

**When to use undiscounted payments:** for quantities that are *already* discounted (so a second discount factor would double-count), for forward-valued legs, or for payoffs expressed in a rebased numéraire. For example, a par redemption written `receive_undisc 1.0` at maturity pays exactly 1.0, whereas `receive 1.0` pays  $1.0 \times DF(0, T)$ .

**Cross-currency.** All four cashflow statements (`receive`, `pay`, `receive_undisc`, `pay_undisc`) accept an optional `currency` (and `fx`) for a foreign-denominated cashflow — either as a block field (`receive { amount = ...; currency = "EUR" }`) or as a trailing suffix (`receive <expr> currency "EUR"`). See the cross-currency (quanto / compo) section under the statements list for the FX-conversion semantics.

---

## Part 5 — Fully-worked payoffs

Each of the following has been compiled and priced; they exercise the operators, the `for` loop, the flow flags, and a cross-section of the function vocabulary.

### 5.1 European call — operators only

```
product European {
  currency = "USD"
  discount = 0.02
  underlyings = [SPX]
  events {
    at 1.0 { receive max(SPX - 100.0, 0) }
  }
}
```

### 5.2 Worst-of autocallable — `for`, `flags`, `exercise`, `ternary`, `INF`, `RATIO`

```
product Autocallable {
  currency = "USD"
  discount = 0.02
  underlyings = [SPX, NDX]
  groups all = [SPX, NDX]
  let cpn = 0.06
  let ab = 1.0
  let cb = 0.7
  let kib = 0.6
  let rb = 0.6
  state {
    regressor perf = 1.0
    ki = 0.0
  }
  events {
    for t in [0.5, 1.0, 1.5, 2.0, 2.5, 3.0] {
      at t {
        set perf = WORST_OF(RATIO(all, reset=false))
        set ki = INDIC(INF("wmin", perf) < kib)
        skip_last receive (cpn if (perf >= cb) & (perf < ab) else 0.0)
        skip_last exercise { forced when perf >= ab; receive 1.0 + cpn }
        only_last receive ((max(perf, 0.0) if ki > 0.5
                           else (1.0 if perf >= rb else max(perf, 0.0)))
                           + (cpn if perf >= cb else 0.0))
      }
    }
  }
}
```

Note the **bitwise &** in the coupon gate (so a coupon is not double-paid on the autocall date), the nested **ternary** at maturity, the **INF** running-minimum as the discrete knock-in tracker, and the **for loop** keeping the script constant-size over the six observation dates.

### 5.3 Continuous knock-in — `BARRIER_SURVIVAL` on a fine grid

```
product ContinuousKI {
  currency = "USD"
  discount = 0.02
  underlyings = [SPX]
  let kib = 0.6
  state {
```

```

    regressor perf = 1.0
    ki = 0.0
    surv = 1.0
  }
  events {
    for u in continuous(0.0, 3.0, steps=200) {
      at u { set surv = BARRIER_SURVIVAL("ki", SPX, 60.0, "down",
                                           monitoring="continuous", sigma=0.25) }
    }
    for t in [0.5, 1.0, 1.5, 2.0, 2.5, 3.0] {
      at t {
        set perf = RATIO(SPX, reset=false)
        only_last set ki = 1.0 - surv
        only_last receive (max(perf, 0.0) if ki > 0.5 else 1.0)
      }
    }
  }
}

```

## 5.4 Arithmetic-average Asian — `RUNNING_MEAN`

```

product Asian {
  currency = "USD"
  discount = 0.02
  underlyings = [SPX]
  state { avg = 100.0 }
  events {
    for t in schedule(start=0.0, end=1.0, freq="1M") {
      at t { set avg = RUNNING_MEAN("avg", SPX) }
    }
    at 1.0 { only_last receive max(avg/100.0 - 1.0, 0.0) }
  }
}

```

## 5.5 Convertible bond — survival update, `decide` (holder conversion), `IS_ALIVE`, `RECOVERY`

A defaultable coupon bond the holder may convert into `conversion_ratio` shares at any coupon date (American conversion). At each coupon date the script (1) updates the survival indicators, (2) fires a holder `decide` whose immediate value is the conversion proceeds `conversion_ratio * asset` (the holder takes the max of continuing vs converting), (3) pays the coupon if alive, and (4) pays recovery of face on default; survivors redeem face at maturity:

```

product ConvertibleBond {
  currency = "USD"
  underlyings = [ACME_EQ]
  state {
    alive_prev = 1.0
    alive_now = 1.0
    just_defaulted = 0.0
  }
  events {
    for t in [1.0, 2.0, 3.0, 4.0, 5.0] {
      at t {
        set alive_now = alive_prev * IS_ALIVE("ACME")
        set just_defaulted = alive_prev - alive_now
        decide { immediate = alive_now * 2.5 * ACME_EQ + just_defaulted * 1.0 * 2.5 *
ACME_EQ; alive = alive_now > 0; regressors = [ACME_EQ] }
        receive alive_now * 3.0
      }
    }
  }
}

```

```

        receive just_defaulted * RECOVERY("ACME") * 100.0
        set alive_prev = alive_now
    }
}
at 5.0 { receive alive_now * 100.0 }
}

```

(conversion\_ratio = 2.5, coupon = 3.0, face = 100.0, recovery from the issuer's curve.) This is the exact lowering produced by `make_convertible_bond`.

---

## Part 6 — Grammar & reimplementation reference

---

This part collects the lexical, grammatical, and tabular facts needed to reimplement the `.amc` language from scratch.

### 6.1 Lexical conventions

- **Comments:** two forms. `#` starts a comment that runs to the end of the line (a whole line or trailing after code, `currency = "USD" # deal currency`). `/* ... */` is a block comment that may span multiple lines or appear inline between tokens (`x = /* note */ 1.0`). `//` is **not** a comment — it is the floor-division operator (`5 // 2`).
- **Separators:** statements are separated by newlines or `;`. Inside object / leg bodies, `;` or `,` separate fields.
- **Identifiers:** declared names (underlyings, state vars, `let` constants, `groups`, instrument names, string labels) are matched **exactly** as written (case-sensitive).
- **Function names: case-insensitive** (canonicalised to upper case).
- **Structural keywords & flow flags:** fixed lower-case tokens, written exactly.
- **Numbers:** integer or float; percentages may be written `3%` (= 0.03) in settings such as `fixed_rate` and `coupon`.
- **Strings:** double-quoted (`"USD"`, `"2027-01-01"`).
- **Constants:** `True`, `False`, `None`, and the math constants `pi`, `e` are reserved names usable in expressions.

### 6.2 Dates, tenors, frequencies, day counts

**Date atoms** (used in `at <date>` slots and `schedule` bounds) are one of:

- a **float year-fraction** — `1.5` (years from `as_of`);
- a **tenor** matching `[+-]?[d+](.\d+)?[DWMYQSA]`, optionally **chained** — `3Y`, `6M`, `1Y+6M`, `1Y6M`, `6M+1D` (chunks summed); a leading `-` marks a **past** date (`-3M`, `-0.5`), used for historical fixings;
- an **ISO calendar date** — `"2027-06-12"`;
- the **name t0** (or `as_of`), resolving to year-fraction 0;
- a **bare identifier** — a `let` constant or a `for-loop` variable (e.g. `t`), resolving to that name's date value.

Any of the literal forms may also be **quoted** (`"18M"`, `"1.5"`) for consistency with `as_of`. Tenor units as year-fractions: `D` = 1/365.25, `W` = 7/365.25, `M` = 1/12, `Y` = 1.0; `Q`, `S`, `A` are also accepted as period codes. The parser additionally accepts a parenthesised expression `span` as a date, but the resolver only reduces it when it is a pure literal/tenor — **arithmetic on a name is not supported in the date slot**: `at t-3M`, `at t + 0.5`, and `at (t - 0.25)` all

fail. Relative offsets must be done inside the payoff expression (at `t { receive f(t - 0.25) }`), not in the `at` slot.

**Frequency codes** normalise (upper-cased) to ISDA single-letter codes:

- A (annual)  $\leftarrow$  A, Y, 1Y, 12M, ANNUAL
- S (semi-annual)  $\leftarrow$  S, 6M, SEMIANNUAL
- Q (quarterly)  $\leftarrow$  Q, 3M, QUARTERLY
- M (monthly)  $\leftarrow$  M, 1M, MONTHLY

Year-fractions per code: A = 1.0, S = 0.5, Q = 0.25, M = 1/12.

**Day-count / business-day** settings (`day_count / dcc`, `calendar`, `bda`, `stub`) on `schedule(...)` and swap legs pass through to the engine verbatim (e.g. "ACT/360", "30/360", "modfollowing", "TARGET").

## 6.3 String-label accumulators

These functions take a **string label as their first argument** and maintain hidden per-path state under that label for the whole simulation, so one call in a `for` loop accumulates across every iteration. Reusing a label reuses the same state; distinct labels are independent:

BARRIER\_SURVIVAL, CORRIDOR\_SURVIVAL, INF, PERF\_PROD, PERF\_PROD\_IF, PERF\_SUM, PERF\_SUM\_IF, RATIO\_PROD, RATIO\_PROD\_IF, RATIO\_SUM, RATIO\_SUM\_IF, REALISED\_QUADRATIC\_VARIATION, REALISED\_QUADRATIC\_VARIATION\_IF, REALISED\_QV, REALISED\_QV\_CROSS, REALISED\_QV\_IF, REALISED\_VAR, REALISED\_VARIANCE, REALISED\_VARIANCE\_IF, REALISED\_VAR\_IF, REALISED\_VOL, REALISED\_VOLATILITY, REALISED\_VOLATILITY\_IF, REALISED\_VOL\_IF, REALIZED\_QUADRATIC\_VARIATION, REALIZED\_QUADRATIC\_VARIATION\_IF, REALIZED\_QV, REALIZED\_QV\_CROSS, REALIZED\_QV\_IF, REALIZED\_VAR, REALIZED\_VARIANCE, REALIZED\_VARIANCE\_IF, REALIZED\_VAR\_IF, REALIZED\_VOL, REALIZED\_VOLATILITY, REALIZED\_VOLATILITY\_IF, REALIZED\_VOL\_IF, RUNNING\_AVG, RUNNING\_AVG\_IF, RUNNING\_COUNT, RUNNING\_COUNT\_IF, RUNNING\_MAX, RUNNING\_MEAN, RUNNING\_MEAN\_IF, RUNNING\_MIN, RUNNING\_PROD, RUNNING\_PRODUCT, RUNNING\_PRODUCT\_IF, RUNNING\_PROD\_IF, RUNNING\_SUM, RUNNING\_SUM\_IF, RUNNING\_SUM\_LOG, RUNNING\_SUM\_LOG\_IF, SHARPE, SHARPE\_RATIO, SHARP\_RATIO, SNAPSHOT, SUP

(plus the `*_IF` conditional variants and the `REALIZED_*` / `REALISED_*` family, which follow the same label-first convention).

## 6.4 Expression grammar (complete EBNF)

The expression sub-language is what appears on the right of `receive` / `pay` / `set` and inside function arguments and conditions. It is parsed into a Python-AST subset and validated against the permitted-node whitelist; the resolver then substitutes declared names and re-emits the expression. The grammar, with precedence from lowest (loosest-binding) to highest:

```
expr      ::= ternary
ternary   ::= or_expr [ "if" or_expr "else" ternary ]
           (* element-wise select; compiles to where(cond, a, b) *)
or_expr   ::= and_expr { ( "or" | "|" ) and_expr }
and_expr  ::= not_expr { ( "and" | "&" | "^" ) not_expr }
not_expr  ::= ( "not" | "~" ) not_expr
           | comparison
comparison ::= add_expr { ( "<" | "<=" | ">" | ">=" | "==" | "!=" ) add_expr }
```



```

add_expr      ::= mul_expr { ( "+" | "-" ) mul_expr }
mul_expr      ::= unary { ( "*" | "/" | "/" | "%" ) unary }
unary         ::= ( "+" | "-" ) unary
               | power
power         ::= postfix [ "***" unary ]           (* right-associative *)
postfix       ::= atom { subscript }
subscript     ::= "[" expr [ ":" expr ] "]"          (* index or slice *)

atom          ::= NUMBER
               | PERCENT                          (* e.g. 3% = 0.03; settings only *)
               | STRING
               | "True" | "False" | "None" | "pi" | "e"
               | NAME                              (* underlying / state / let / group /
const *)
               | call
               | list
               | comprehension
               | "(" expr ")"

call          ::= NAME "(" [ arglist ] ")"
arglist       ::= arg { "," arg } [ "," ]
arg           ::= [ NAME "=" ] expr                (* positional OR a NAME=value keyword arg *)
               (* keyword args follow any positional ones. The recognised
               argument NAMES for every built-in (e.g. schedule start/end/
               freq/day_count, LIBOR currency/t_start/t_end/tenor,
               CDO_VALUE index/attach/detach/spread/schedule/config,
               accumulator init/annualization/K/cap/floor/tenor/weights) are
               listed in the Function Coverage Checklist, "Argument signatures
               & construct keys" (auto-generated, parse-verified). The grammar
               accepts any NAME "="; the semantic layer (§6.1.1) rejects keys
               a given function does not document. *)
               | NAME "=" expr                      (* keyword argument *)

list          ::= "[" [ expr { "," expr } [ "," ] ] "]"
comprehension ::= "[" expr "for" NAME "in" iterable_expr [ "if" expr ] "]"
iterable_expr ::= list | call | NAME

NUMBER        ::= /[+-]?d+(\.\d+)?([eE][+-]?d+)?/
PERCENT       ::= NUMBER "%"
STRING        ::= "'" ... "'"
NAME          ::= /[A-Za-z_][A-Za-z0-9_]*/          (* but not a reserved keyword *)

(* Globally reserved keywords (never usable as value names): at, autocall, bond,
by, callable, cancel, CDO, convertible, decide, enter, events, exercise, fix,
for, in, knock_in, knock_out, let, mutable, pay, pay_undisc, pricing, product,
putable, receive, receive_undisc, schedule, schedule_div, set, state, swap,
tranche_pricer, when, and
the flow flags skip_first/skip_last/only_first/only_last. (Note `pay` is also a
leg-direction word inside swap bodies.)
Context-local words – special only in a specific position, otherwise ordinary
names: forward, currency, fx (cashflow suffix); regressor (state block);
continuous (sequence); while, into, issuer, forced (exercise fields);
convert, call, put, reset, change_of_control, contingent, soft, hard
(convertible blocks). These may still be used as state-variable names.
The constants True/False/None/pi/e are reserved value names. Function names
(Part 3/§6.6) are recognised in call position only and are case-insensitive.
There is no user-facing `do` or `flow` keyword: `do` is an internal field the
resolver emits for state updates (write `set name = expr` instead), and `flow`
is an internal transcription node – both may be used as ordinary names. *)

```

**Resolution rules the reimplementer must apply** (after parsing an expression):

1. **Function calls.** NAME in call position must (case-insensitively) be one of the built-in functions (Part 3 / §6.6). Canonicalise the name to upper case. Validate the **positional**

argument count against the arity table (§6.6); keyword arguments are extra. Only the functions/kwargs documented as accepting keywords may receive them — the recognised argument **names** for every built-in are listed in the Function Coverage Checklist, “Argument signatures & construct keys” (auto-generated from the engine and parse-verified).

2. **Names in value position** resolve, in order, to: a comprehension-bound variable (local), a declared **underlying** ( $\rightarrow$  its simulated value at the current event), a **state** variable, a **let** constant (inlined as a literal), a **static vector** (let/mutable list — a bare reference expands to its literal list; a subscript `v[i]` with a compile-time index folds to the element), a **compile-time mutable** scalar (inlined as its current literal value at this point in the lowering walk), a declared **groups** name (a basket, valid only as an aggregator argument), a **constant** (`pi`, `e`, `True`, `False`, `None`), or an **instrument** name (valid only inside an event, lowered to its inner-value call). Anything else is an “unknown name” error.
3. **Static-vector subscripts and SIZE.** `v[i]` / `v[i][j]` where `v` is a let/mutable vector and `i` (`j`) folds to an integer  $\rightarrow$  the literal element (out-of-range index is a compile error). `SIZE(x)` / `LEN(x)` / `LENGTH(x)` fold to the compile-time integer length of `x`; `NROWS(x)` / `NCOLS(x)` to the row / first-row length of a nested vector. `x` may be a let/mutable vector, a literal list, a groups name, a **let-bound schedule(...)** (its generated date count), or a **state array** name (its declared slot count). `SIZE` of a `schedule_div(...)` or of any runtime per-path value is a compile error (the length is not known at lowering). `SIZE(...)` may be used as a range bound, so `for j in range(0, SIZE(v))` stays length-safe.
4. **RATIO/PERF with reset=false** (case-insensitive) are rewritten by a pre-pass into the fixed-inception reference-ratio form, distributing over a group argument; `reset=true` keeps the per-call reset.
5. **Compile-time mutables.** A mutable is seeded at its declaration and updated in place by each `set <mutable> = <const-expr>` as the resolver walks events in order; the current value is substituted into every expression that references it. The RHS (and any slot index) must fold to a compile-time constant — a runtime/per-path RHS is an error. Mutables vanish after lowering (like func inlining); they never appear in the resolved product.
6. **Forbidden nodes** (compile error): attribute access (`a.b`), lambdas, assignments, comprehension over anything but a list/call/name, walrus, f-strings, imports, starred args, dict/set literals in expressions.
7. **Element-wise semantics.** Every operator and function is element-wise over the per-path value vector; boolean `&` / `|` / `^` / `~` are the element-wise mask operators (the keyword `and/or/not` short-circuit and are for scalars).

## 6.5 Program grammar (complete EBNF)

The lexical layer (applied before the grammar below) is: skip whitespace and newlines; skip #-to-end-of-line comments; skip `/* ... */` block comments (which may span lines); `//` is **not** a comment (it is the floor-division operator). Tokens are NAME, NUMBER, STRING (double-quoted), PERCENT (NUMBER “%”), TENOR, the punctuation `{ }` `[ ]` `( )` `=` `;` `,` and the reserved keywords. Statements are separated by newlines or `;;`; object/leg fields by `;` or `,`. A product block is the top-level unit.

```
program      ::= "product" NAME "{" { product_item } "}"

product_item ::= setting
              | binding
              | mutable_decl
```

```

| group_decl
| func_decl
| state_block
| instrument
| events_block

(* ---- user-defined value functions (inlined at compile time) ---- *)
func_decl ::= "func" NAME "(" [ params ] ")" "{" func_body "}"
params   ::= param_decl { "," param_decl }
param_decl ::= NAME [ "=" expr ] (* trailing default *)
func_body ::= { func_stmt } return_stmt
           (* every path must end in a return; for-bodies are let/for only *)
func_stmt ::= let_stmt
           | for_stmt
           | if_stmt
let_stmt  ::= "let" NAME "=" expr
for_stmt  ::= "for" NAME "in" iterable "{" { let_stmt | for_stmt } "}"
           (* compile-time unrolled; range/list bound must resolve to an
            integer at compile time (a `let` is allowed) *)
iterable  ::= list | "range" "(" expr [ "," expr [ "," expr ] ] ")" | NAME
if_stmt   ::= "if" expr "{" func_body "}" [ "else" "{" func_body "}" ]
           (* lowers to a vectorised ternary `then if cond else else` *)
return_stmt ::= "return" expr

(* ---- settings & declarations ---- *)
setting    ::= NAME "=" setting_value (* any non-keyword top key *)
           (* recognised keys: currency, discount, discount_rate, as_of,
            underlyings, pricing, plus any setting-style key.
            pricing = closedform | closeform | analytic – selects the CCR
            valuation route for a CDO (Part 7 §7.4 / Execution Spec §9):
            closedform attaches the analytic pricer and bypasses LSM
            regression (guarded against path-gated tranches); analytic is
            advisory and stays on the control-variate regression. *)
setting_value ::= STRING | NUMBER | list | object | expr
binding       ::= "let" NAME [ shape ] "=" ( schedule_call | value | list )
           (* a list value (optionally shaped) declares a STATIC, immutable
            compile-time vector: `let w = [0.2, 0.3, 0.5]`,
            `let strikes[3] = [90, 100, 110]`,
            `let grid[2][3] = [[1,2,3],[4,5,6]]` (nested). The optional
            shape is asserted against the literal at compile time. Elements
            are constant expressions, folded at lowering. A subscript
            `w[i]` with a compile-time-foldable index folds to the literal
            element; a bare `w` used as a list argument expands to the
            literal list. *)
shape        ::= "[" INT "]" { "[" INT "]" } (* fixed dimension sizes *)

mutable_decl ::= "mutable" NAME [ shape ] "=" ( value | list )
           (* a COMPILE-TIME-mutable scalar (a counter) or vector. Unlike
            `let` it is reassignable via `set` (below); unlike `state` it
            is NOT per-path – it is a single value resolved entirely at
            lowering and never reaches the engine. Its assignment RHS must
            be compile-time constant (it may reference `let`, other
            `mutable`s, `SIZE(...)`, and arithmetic – but NOT an underlying,
            `state`, `t`, or any per-path value). It may be assigned where
            its loop unrolls at lowering: top level, a `for v in [<list>]`
            /range loop, or a `for v in schedule(...)` with compile-time
            dates (plain start/end/freq or dates=[...], no calendar/bda) –
            which then unrolls per date. NOT inside schedule_div or a
            calendar-rolled schedule, nor under a runtime `if`. Use `state`
            for a per-path counter. *)
group_decl  ::= ( "groups" | "baskets" | "group" | "basket" ) NAME
           "=" "[" NAME { "," NAME } "]"

state_block ::= "state" "{" { state_entry } "}"
state_entry ::= [ "regressor" ] NAME [ "[" INT "]" ] "=" expr

```

```

(* "[" INT "]" declares constant-size array state *)

(* ---- instruments (physical-settlement deliverables) ---- *)
instrument      ::= swap_decl | bond_decl | forward_decl | convertible_decl
                  | tranche_pricer_decl | cdo_decl

(* ---- credit tranche instruments (see Part 7) ---- *)
tranche_pricer_decl ::= "tranche_pricer" NAME "{" { setting } "}"
    (* keys: el_mode (fast|exact), recovery_states (2|3), gh_nodes,
        grid, maturity, recovery_markdown, recovery_levels,
        recovery_var_frac *)
cdo_decl          ::= "CDO" NAME "{" { setting } "}"
    (* keys: index (STRING), attach, detach, spread,
        schedule (a schedule(...) call – endpoint inclusive),
        config (a tranche_pricer NAME), upfront (None|par|NUMBER),
        IsUpfrontPayer, nominalExchange, amortizing. Entered with
        `enter <NAME>` (effective date, no cashflow); referencing
        <NAME> in an expression lowers to CDO_VALUE(...). *)

swap_decl        ::= "swap" NAME "{" { swap_item } "}"
swap_item        ::= setting
    (* maturity, tenor, fixed_rate,
        frequency, pay, float,
        float_spread, cms_tenor,
        cms_freq, notional, currency *)

leg              ::= ( "pay" | "receive" ) leg_type "{" { setting } "}"
leg_type         ::= "fixed" | "float" | "cms" | "cms_spread"
    (* leg settings: frequency, notional, currency,
        exchange_notional; fixed→rate; float→index|forward, spread,
        fixing(in_advance|in_arrears); cms→swap_tenor, index, spread,
        swap_freq, swap_day_count; cms_spread→swap_tenor, swap_tenor2 *)

bond_decl        ::= "bond" NAME "{" { setting } "}"
    (* keys: maturity, coupon (alias fixed_rate), frequency,
        notional (alias face_value), issuer, recovery *)
forward_decl     ::= "forward" NAME "{" { setting } "}"
    (* keys: underlying | pair, strike, maturity, long, notional *)

convertible_decl ::= "convertible" NAME "{" { conv_setting | conv_block } "}"
conv_setting     ::= NAME "=" value
    (* known flat settings (any other key is an error): underlying,
        notional, maturity, coupon, frequency, ratio, currency,
        issuer, recovery, start, settlement, mandatory_conversion *)
conv_block       ::= ( "convert" | "call" | "put" | "reset" | "change_of_control" )
    "{" { conv_field | conv_clause } "}"
conv_field       ::= NAME "=" value
    (* e.g. window=[from,to], schedule=[...], price=<pct>,
        dates=[...], floor=<expr>, hard, make_whole=<bool> *)
conv_clause      ::= ( "contingent" | "soft" | "hard" ) raw_expr
    (* e.g. `contingent when U >= 1.3 * conv_price`;
        `soft when U >= K for N of last M days`; `hard from <date>`.
        `conv_price` is a reserved name inside convertible clauses. *)

(* ---- events ---- *)
events_block     ::= "events" "{" { event } "}"

event            ::= at_event
    | for_loop
    | schedule_block
    | generic_event
    | exercise_event
    | bare_stmt
    (* runs at t0 *)

at_event         ::= "at" date ( stmt_block | stmt )
for_loop         ::= "for" NAME "in" sequence stmt_block_events

```

```

(* the preferred form for schedule / schedule_div / continuous;
   binds NAME to each generated date. For schedule_div the body
   may use the bare tokens `current` (0-based dividend index) and
   `SIZE` (dividend count), substituted per dividend by the
   engine at expansion time. *)
schedule_block ::= ( "schedule" | "schedule_div" ) "(" sched_args ")"
                  "{" { event } "}"
                  (* standalone (no loop variable) shorthand for the for_loop
                     above; same expansion, but no date variable is bound *)
generic_event  ::= generic_type "{" { field } "}"
generic_type   ::= "american" | "convertible" | "pay_undisc"
                  | "bond_physical_exercise" | "swap_physical_exercise"
                  | "fx_physical_exercise" | "equity_physical_exercise"

sequence      ::= list                                (* explicit date list *)
                  | "schedule" "(" sched_args ")"
                  | "schedule_div" "(" sched_args ")" (* dividend-driven; binds the
                                                           loop var to t_ex-le-9 (ex_date)
                                                           or t_pay (pay_date); body may
                                                           use bare `current` / `SIZE` *)
                  | "continuous" "(" date "," date [ "," "steps" "=" INT ] ")"
                  | NAME                                (* a let-bound sequence *)

sched_args    ::= sched_kw { "," sched_kw } [ "," ]
sched_kw      ::= sched_key "=" sched_val
sched_key     ::= "start" | "end" | "n" | "freq" | "frequency" | "stub"
                  | "dates" | "calendar" | "bda" | "day_count" | "dcc"
                  | "underlying" | "include_first" | "include_last"
                  | "drive_by" | "obs_time"            (* schedule_div extras *)

stmt_block    ::= "{" { stmt } "}"
stmt_block_events ::= "{" { event } "}"

(* ---- statements (inside at / for / schedule bodies) ---- *)
stmt          ::= { flow_flag } stmt_body
flow_flag     ::= "skip_first" | "skip_last" | "only_first" | "only_last"

stmt_body     ::= receive_stmt
                  | set_stmt
                  | exercise_stmt
                  | knock_stmt
                  | enter_stmt
                  | fix_stmt
                  | generic_event
                  (* NB: state updates use `set name = expr`. There is no
                     user-facing `do` statement – `do` is an internal field the
                     resolver emits when lowering state updates, not a surface
                     keyword. *)

receive_stmt  ::= cashflow_kw expr [ ccy_suffix ]      (* bare-expression form *)
                  | cashflow_kw object                (* faithful block form *)
cashflow_kw   ::= "receive" | "pay" | "receive_undisc" | "pay_undisc"
ccy_suffix    ::= "currency" STRING [ "fx" STRING ]    (* cross-currency / quanto *)
(* In the block form the same two keys appear as object fields:
   `currency = "EUR"` and optional `fx = "EURUSD"`.
   Sign: receive(+) / pay(-); discounting: plain(yes) /
   *_undisc(no). The faithful block's `amount` is literal – it is
   NOT re-signed (the printer round-trips dict pay events this
   way); only the bare `pay`/`pay_undisc` keyword applies the
   holder-pays negation. *)

set_stmt      ::= "set" NAME [ "[" expr "]" ] "=" expr (* "[" expr "]" = array slot *)
(* If NAME is a `state` variable, a per-path runtime update; if a
   `mutable`, a compile-time update (the slot index and RHS must
   fold to compile-time constants, and it emits no runtime event).
   A `set` after a `receive` in the same block runs AFTER the

```

```

        payment (the payment sees the pre-update value); equivalently
        a fix carries do_when ∈ {before, after}, default before. *)
knock_stmt ::= "knock_in" NAME "when" expr
            | "knock_out" "when" expr [ "rebate" expr ]
enter_stmt ::= ( "enter" | "cancel" ) NAME [ "when" expr | by_block ]
    (* three forms: bare `enter S` (unconditional, latched at the
       event date), `enter S when <cond>` (wired trigger), and
       `enter S { by <party> }` (option attributed to a party).
       `when` and the by-block are mutually exclusive.
       For swap / bond / forward instruments this is physical
       settlement (the deliverable is entered/cancelled). For a
       `convertible`, only the bare `at <date> enter <name>` form is
       valid and it sets the convertible's ISSUE DATE (equivalent to
       `start = <date>`); `cancel` and `when`/by-block are rejected
       for convertibles. *)
by_block   ::= "{" "by" party "}"
party      ::= "bank" | "counterparty"
fix_stmt   ::= "fix" [ object ]

exercise_stmt ::= "exercise" "{" { exercise_field } "}"
    | "autocall" object      (* keys: when, pay *)
    | "callable" object      (* keys: pay (required), when *)
    | "puttable" object      (* keys: pay (required), when *)
    | "decide" object        (* keys: immediate, alive, forced /
                               forced_stop, continuation,
                               regressors, polarity, controls;
                               also accepts when / pay *)
exercise_field ::= "forced" "when" expr
    | "receive" expr
    | "into" NAME
    | "issuer"
    | "by" party
    | "while" expr

exercise_event ::= "exercise" NAME stmt_block      (* physical macro form *)

(* ---- shared ---- *)
date           ::= NUMBER          (* year-fraction *)
    | TENOR          (* 3Y, 6M, 1Y+6M, -3M (past) *)
    | STRING         (* ISO date or quoted tenor/number *)
    | "t0"           (* = as_of, year-fraction 0 *)
    | NAME           (* let constant or for-loop var *)
    (* NB: no arithmetic in this slot – `t-3M`, `t+0.5` do NOT parse;
       do relative offsets inside the payoff expression instead *)
TENOR          ::= /[+-]?\d+(\.\d+)?[DWMYQSA]([+-]?\d+(\.\d+)?[DWMYQSA])*/
    | NAME          (* t0 / as_of *)
object         ::= "{" [ field { ( ";" | "," ) field } ] "}"
field          ::= NAME "=" value
value          ::= STRING | NUMBER | PERCENT | list | object | expr
list           ::= "[" [ value { "," value } ] "]"
raw_expr       ::= /* a raw expression span captured verbatim up to a depth-0
    terminator (newline / ; / } ) – used by convert/soft/hard
    clauses and conditions; validated as an expr at resolve time */
INT            ::= /\d+/

```

**Lowering rules the reimplementaion must apply** (parsed tree → canonical script dict consumed by the pricer):

1. **for loops** are unrolled: the body events are emitted once per date in the sequence, with the loop variable bound to each date; flow flags (`skip_first` / `only_last` / ...) select which iterations a statement fires on.
2. **Adjacent receive/pay** at one instant **net into a single discounted payment** (type: "pay", summed amount, pay negated). `receive_undisc` / `pay_undisc` each emit a



- separate** `pay_undisc` event (`discounted=False`, `pay_undisc` negated) — they never merge into the discounted accumulator.
3. A **set written after a payment** is ordered to run *after* that payment's amount is computed (so the amount sees the pre-update state); a `set` with no preceding payment becomes a leading pre-update.
  4. `exercise { receive max(CV,X) }` (Bellman form) lowers to a native `american` event with the regressor auto-inferred; `forced` when adds the mandatory-stop condition; `issuer` sets `polarity="min"`; `into NAME` is parsed but **not yet lowered** (raises; use `enter`).
  5. `callable/puttable` desugar to a `decide` against the call/put price with `polarity min/max`; `autocall` is a forced (non-optimised) stop.
  6. `knock_in/knock_out` latch a per-path flag (and optional `rebate` cashflow); the engine handles path termination.
  7. `schedule/schedule_div` expand to one event per generated date; `schedule_div` additionally binds the dividend macros (`DIV_AMOUNT`, `DIV_C`, `DIV_Y`, ...) inside its body and requires `market_config`.
  8. **Same-instant events** are ordered by a `(date, seq)` tuple; the printer reproduces this with epsilon date offsets on round-trip.
  9. **Tenors / frequencies / percentages** are normalised per §6.2 before emission (tenor → year-fraction, frequency → ISDA code, 3% → 0.03).
  10. **Cross-currency cashflows.** A `receive/pay/receive_undisc/pay_undisc` carrying `currency` (≠ the product currency) is emitted as a standalone event (it cannot merge into the single-currency discounted accumulator) with `currency` (and optional `fx`) attached; `pay/pay_undisc` negate the amount, `receive/receive_undisc` keep it positive. The engine multiplies by spot FX at the event date and discounts on the domestic curve.
  11. `convertible NAME { ... }` lowers to risky/risk-free coupon + redemption `pay` events plus the windowed `convert/call/put/reset` decision events; inside its clauses `conv_price` is a reserved name. `coupon` accepts a percent literal; `issuer + recovery` make the coupons survival-weighted. The whole instrument self-expands (no `events` block needed); its issue date is `t0` unless set by a `start = setting` or an `at <date> enter NAME` statement (equivalent; the `enter` form overrides `start`), which shifts the entire coupon/window/schedule timeline.
  12. `func NAME(params) { ... }` is inlined at every call site and then disappears: the body is lowered to a single expression by back-substituting `params` and locals, unrolling compile-time `for` loops into folds, and rewriting `if/else` into vectorised ternaries (`a if c else b`). Because nothing survives lowering, funcs never appear in the canonical dict and do not affect round-trip. Funcs are pure (no events, no `set`); recursion and built-in-name shadowing are compile errors.

Together with the operator set (Part 1), the function vocabulary with signatures and kwargs (Part 3), and the arity table (§6.6), these two grammars plus the lowering rules fully specify `compile_abc`: `parse` → `resolve/validate` names and functions → `lower` events → `emit` the canonical script dict.

## 6.6 Function arity table

Minimum–maximum **positional** argument counts for every built-in (canonical upper-case names; `N+` means N-or-more / variadic). Keyword arguments are additional and not counted here.

| Function         | Args | Function                     | Args |
|------------------|------|------------------------------|------|
| <code>ABS</code> | 1-2  | <code>ABSOLUTE_BASKET</code> | 2-3  |

| Function              | Args | Function            | Args |
|-----------------------|------|---------------------|------|
| ALL                   | 0+   | ANY                 | 0+   |
| ARGMAX_OF             | 0+   | ARGMIN_OF           | 0+   |
| AVERAGE               | 0+   | AVG                 | 0+   |
| AVG_EXCLUDING         | 2-3  | BACHELIER_EURO_CALL | 5    |
| BACHELIER_EURO_PUT    | 5    | BARRIER_SURVIVAL    | 4-12 |
| BASKET                | 1+   | BASKET_LOSS         | 1-2  |
| BEST                  | 0+   | BEST_OF             | 0+   |
| BEST_OF_EXCLUDING     | 2-3  | BEST_OF_IDX         | 0+   |
| BEST_OF_IDX_EXCLUDING | 2-3  | BOND                | 0+   |
| BS_EURO_CALL          | 6    | BS_EURO_PUT         | 6    |
| CALL                  | 2    | CALL_PAYOFF         | 2    |
| CALL_SPREAD           | 2-4  | CAPPED_AT           | 2    |
| CAP_AT                | 2    | CEIL                | 1-2  |
| CLAMP                 | 3    | CLIP                | 1-4  |
| CMS                   | 3-5  | COLLAR              | 3    |
| CORRIDOR_SURVIVAL     | 4-13 | COUNT               | 0+   |
| DEFAULTED             | 1    | DF                  | 2    |
| DIGITAL               | 1    | DIV_AMOUNT          | 1    |
| DIV_C                 | 0-1  | DIV_T_EX            | 0-1  |
| DIV_T_PAY             | 0-1  | DIV_Y               | 0-1  |
| DOUBLE_DIGITAL        | 3    | EXCLUDE_CONT_BEST   | 0+   |
| EXCLUDE_CONT_WORST    | 0+   | EXP                 | 1-2  |
| EXPM1                 | 1-2  | FIRST_TO_DEFAULT    | 1    |
| FIX                   | 2+   | FIXING              | 1-2  |
| FLOOR                 | 1-2  | FLOORED_AT          | 2    |
| FLOOR_AT              | 2    | FORWARD             | 2    |
| FWD_DIV_AMOUNT        | 1    | FWD_SURVIVAL        | 2    |
| FWD_SURVIVAL_BOND     | 2    | HAZARD              | 1    |
| HEAVISIDE             | 1    | IF                  | 1-3  |
| IFELSE                | 1-3  | IF_                 | 1-3  |
| INDEX_SPREAD_NOTIONAL | 1-2  | INDIC               | 1    |
| INDICATOR             | 1    | INDICATOR_OF        | 1    |
| INF                   | 2-3  | INTENSITY           | 1    |
| INTERP                | 3    | IS_ALIVE            | 1    |
| JUST_DEFAULTED        | 2    | KTH_BEST            | 1+   |
| KTH_WORST             | 1+   | LADDER              | 3    |
| LERP                  | 3    | LIBOR               | 3-4  |
| LINTERP               | 3    | LN                  | 1-2  |
| LOG                   | 1-2  | LOG10               | 1-2  |
| LOG1P                 | 1-2  | LOG2                | 1-2  |
| MAX                   | 0+   | MAXIMUM             | 0+   |
| MEAN                  | 0+   | MEDIAN              | 0+   |
| MEDIAN_EXCLUDING      | 2-3  | MIN                 | 0+   |
| MINIMUM               | 0+   | NEG                 | 1    |
| NEGATIVE_PART         | 1    | NTH_BEST            | 1+   |



| Function                        | Args | Function                        | Args |
|---------------------------------|------|---------------------------------|------|
| NTH_WORST                       | 1+   | NUM_DEFAULTED                   | 1    |
| OIS                             | 3    | PAST_FIX                        | 1-2  |
| PCTRANK                         | 1+   | PCT_RANK                        | 1+   |
| PERCENTILE                      | 1+   | PERCENTILE_RANK                 | 1+   |
| PERF                            | 2-5  | PERF_ACCRUED                    | 2-5  |
| PERF_PROD                       | 3-6  | PERF_PROD_IF                    | 4-7  |
| PERF_SUM                        | 3-6  | PERF_SUM_IF                     | 4-7  |
| PIECEWISE                       | 3    | POS                             | 1    |
| POSITIVE_PART                   | 1    | POW                             | 2-3  |
| PROD                            | 0+   | PRODUCT                         | 0+   |
| PUT                             | 2    | PUT_PAYOFF                      | 2    |
| QUANTILE                        | 1+   | Q_SURVIVE                       | 2    |
| Q_SURVIVE_BOND                  | 2    | RAMP                            | 1    |
| RANGE                           | 0+   | RANGE_DIGITAL                   | 3    |
| RANK                            | 1+   | RANK_OF                         | 1+   |
| RATIO                           | 1-3  | RATIO_ACCRUED                   | 1-3  |
| RATIO_PROD                      | 2-4  | RATIO_PROD_IF                   | 3-5  |
| RATIO_SUM                       | 2-4  | RATIO_SUM_IF                    | 3-5  |
| REALISED_QUADRATIC_VARIATION    | 2    | REALISED_QUADRATIC_VARIATION_IF | 3    |
| REALISED_QV                     | 2    | REALISED_QV_CROSS               | 3    |
| REALISED_QV_IF                  | 3    | REALISED_VAR                    | 2-3  |
| REALISED_VARIANCE               | 2-3  | REALISED_VARIANCE_IF            | 3-4  |
| REALISED_VAR_IF                 | 3-4  | REALISED_VOL                    | 2-3  |
| REALISED_VOLATILITY             | 2-3  | REALISED_VOLATILITY_IF          | 3-4  |
| REALISED_VOL_IF                 | 3-4  | REALIZED_QUADRATIC_VARIATION    | 2    |
| REALIZED_QUADRATIC_VARIATION_IF | 3    | REALIZED_QV                     | 2    |
| REALIZED_QV_CROSS               | 3    | REALIZED_QV_IF                  | 3    |
| REALIZED_VAR                    | 2-3  | REALIZED_VARIANCE               | 2-3  |
| REALIZED_VARIANCE_IF            | 3-4  | REALIZED_VAR_IF                 | 3-4  |
| REALIZED_VOL                    | 2-3  | REALIZED_VOLATILITY             | 2-3  |
| REALIZED_VOLATILITY_IF          | 3-4  | REALIZED_VOL_IF                 | 3-4  |
| RECOVERY                        | 1    | RELATIVE_BASKET                 | 2-4  |
| RFR                             | 3-4  | RMS                             | 0+   |
| RUNNING_AVG                     | 2-3  | RUNNING_AVG_IF                  | 3-4  |
| RUNNING_COUNT                   | 1-2  | RUNNING_COUNT_IF                | 2-3  |
| RUNNING_MAX                     | 2-3  | RUNNING_MEAN                    | 2-3  |
| RUNNING_MEAN_IF                 | 3-4  | RUNNING_MIN                     | 2-3  |
| RUNNING_PROD                    | 2-3  | RUNNING_PRODUCT                 | 2-3  |
| RUNNING_PRODUCT_IF              | 3-4  | RUNNING_PROD_IF                 | 3-4  |
| RUNNING_SUM                     | 2-3  | RUNNING_SUM_IF                  | 3-4  |
| RUNNING_SUM_LOG                 | 2-3  | RUNNING_SUM_LOG_IF              | 3-4  |
| SHARPE                          | 2-4  | SHARPE_RATIO                    | 2-4  |
| SHARP_RATIO                     | 2-4  | SIGMOID                         | 1-2  |
| SIGN                            | 1-2  | SMOOTH_INDICATOR                | 2-5  |
| SMOOTH_STEP                     | 2-5  | SNAPSHOT                        | 2-3  |

| Function               | Args | Function           | Args |
|------------------------|------|--------------------|------|
| SOFTMAX                | 1+   | SOFTMIN            | 1+   |
| SOFT_MAX               | 1+   | SOFT_MIN           | 1+   |
| SQRT                   | 1-2  | STD                | 0+   |
| STDDEV                 | 0+   | STDDEV_EXCLUDING   | 2-3  |
| STDEV                  | 0+   | STDEV_EXCLUDING    | 2-3  |
| STD_EXCLUDING          | 2-3  | STEP               | 1    |
| STRADDLE               | 2    | SUM                | 0+   |
| SUM_BEST               | 1+   | SUM_BEST_K         | 1+   |
| SUM_EXCLUDING          | 2-3  | SUM_FWD_DIVS       | 3    |
| SUM_LOG                | 0+   | SUM_REALIZED_DIVS  | 3    |
| SUM_WORST              | 1+   | SUM_WORST_K        | 1+   |
| SUP                    | 2-3  | SWAP               | 1-2  |
| TRANCHE_LOSS           | 3-5  | VAR                | 0+   |
| VARIANCE               | 0+   | VARIANCE_EXCLUDING | 2-3  |
| VAR_EXCLUDING          | 2-3  | WHERE              | 1-3  |
| WORST                  | 0+   | WORST_OF           | 0+   |
| WORST_OF_EXCLUDING     | 2-3  | WORST_OF_IDX       | 0+   |
| WORST_OF_IDX_EXCLUDING | 2-3  | YOY_INFLATION      | 3    |
| ZC_INFLATION_SWAP_RATE | 3    |                    |      |

## Part 7 — Credit tranche instruments & pricing modes

Parts 1–6 cover payoffs whose cashflows are written out in `events`. A **CDO tranche** is instead declared as a first-class *instrument block* and valued by the analytic credit kernel; the script only enters it and books its value.

### 7.1 The `tranche_pricer config` block

A reusable pricer configuration (the `TranchePricerConfig` fields):

```
tranche_pricer tp { el_mode = fast; recovery_states = 2; gh_nodes = 32; grid = 160 }
```

`el_mode = fast` (one bucket recursion at maturity + loss-clock interpolation per horizon) or `exact` (a recursion per horizon); `recovery_states = 2` (deterministic LGD-sized loss bucket) or `3` (stochastic recovery with `recovery_var_frac`); `gh_nodes` Gauss-Hermite factor nodes; `grid` loss buckets.

### 7.2 The `cdo instrument` block

```
CDO C { index = "CDX"; attach = 0.10; detach = 0.30; spread = 0.05
  schedule = schedule(start=3M, end=5Y, freq=6M, day_count="ACT/365")
  config = tp; upfront = None; IsUpfrontPayer = True; nominalExchange = False }
```

Keys: `index` (credit index name), `attach/detach` (tranche strikes), `spread`, `schedule` (premium leg dates — endpoint inclusive), `config` (a `tranche_pricer`), `upfront` (`None` | `par` | `float`), `IsUpfrontPayer`, `nominalExchange`, and an optional amortisation list. Premium and protection legs both live **inside** the closed form; you do not write them out.

### 7.3 enter and CDO\_VALUE (receive C)

enter C marks the tranche's **effective date** — the date it comes into force — and emits no cashflow of its own. Referencing the instrument name in an expression lowers to CDO\_VALUE(...), the analytic tranche value (protection-buyer canonical, per unit); before the effective date it is zero.

```
events { at 1M { enter C }           # effective date
         at 5Y { receive C } }      # receive C -> CDO_VALUE(...) closed form
```

### 7.4 pricing = closedform | analytic

A product-level directive selecting the counterparty-exposure valuation route:

```
pricing = closedform
```

closedform (alias closeform) attaches an analytic pricer so the forward mark-to-market is the closed form evaluated directly on the P-measure paths — **no Longstaff-Schwartz regression on Q** — and is *guarded*: if the CDO value is combined with a path-state gate (a knock-out step(IS\_ALIVE ...), inline or routed through a set variable), compilation is refused, because the closed form cannot see the gate. pricing = analytic is a **separate, advisory** value that keeps the deal on the control-variate regression route. Use closedform only for un-gated tranches; for gated / knock-out tranches leave it off and let the (auto-wired control-variate) regression handle them. The execution details are in the Execution Spec §9.

## Appendix — Keyword & function index

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Every operator, keyword, flag, and built-in function, each linked to the section where it is defined; the page number after each entry is the page of that definition (click to jump).

### Operators

[+](#)

[-](#)

[\\*](#)

[/](#)

[//](#)

[%](#)

[\\*\\*](#)

[<](#)

[<=](#)

[>](#)

[>=](#)

[==](#)

[!=](#)

[&](#)

[|](#)

[^](#)

[~](#)

[and](#)

[or](#)

[not](#)

`x if c else y` (ternary)  
`[...] list / x[i] index / slice`  
`[e for x in xs]` comprehension

## Structural keywords

`product`  
`currency`  
`discount`  
`discount_rate`  
`as_of`  
`t0`  
`underlyings`  
`let`  
`state`  
`CV`  
`CONTINUATION_VALUE`  
`EXERCISED`  
`HIT`  
`regressor`  
`groups`  
`events`  
`at`  
`for`  
`in`  
`schedule (iterator)`  
`continuous (iterator)`  
`receive`  
`pay`  
`set`  
`knock_in`  
`knock_out`  
`rebate`  
`enter`  
`cancel`  
`exercise`  
`autocall`  
`callable`  
`putable`  
`decide`  
`convertible`  
`forced`  
`when`  
`issuer`  
`by`  
`into`  
`while`  
`polarity`  
`regressors`  
`swap`  
`bond`  
`forward`

[receive\\_undisc](#)

[pay\\_undisc](#)

## Flow flags

[skip\\_first](#)

[skip\\_last](#)

[only\\_first](#)

[only\\_last](#)

## Built-in functions (A-Z)

[abs](#)

[ABSOLUTE\\_BASKET](#)

[ALL](#)

[american](#)

[ANY](#)

[ARGMAX\\_OF](#)

[ARGMIN\\_OF](#)

[AVERAGE](#)

[AVG](#)

[AVG\\_EXCLUDING](#)

[BACHELIER\\_EURO\\_CALL](#)

[BACHELIER\\_EURO\\_PUT](#)

[BARRIER\\_SURVIVAL](#)

[BASKET](#)

[BASKET\\_LOSS](#)

[BEST\\_OF](#)

[BEST\\_OF\\_EXCLUDING](#)

[BEST\\_OF\\_IDX](#)

[BEST\\_OF\\_IDX\\_EXCLUDING](#)

[BOND](#)

[bond\\_physical\\_exercise](#)

[BS\\_EURO\\_CALL](#)

[BS\\_EURO\\_PUT](#)

[call\\_payoff](#)

[call\\_spread](#)

[cap\\_at](#)

[ceil](#)

[clamp](#)

[clip](#)

[CMS](#)

[collar](#)

[CORRIDOR\\_SURVIVAL](#)

[COUNT](#)

[DEFAULTED](#)

[DF](#)

[digital](#)

[DIV\\_AMOUNT](#)

[DIV\\_C](#)

[DIV\\_T\\_EX](#)

[DIV\\_T\\_PAY](#)

DIV\_Y  
double\_digital  
equity\_physical\_exercise  
EXCLUDE\_CONT\_BEST  
EXCLUDE\_CONT\_WORST  
exp  
expm1  
FIRST\_TO\_DEFAULT  
FIX  
FIXING  
floor  
floor\_at  
FORWARD  
FWD  
FWD\_DIV\_AMOUNT  
FWD\_SURVIVAL  
FWD\_SURVIVAL\_BOND  
fx\_physical\_exercise  
HAZARD  
heaviside  
if\_  
ifelse  
INDEX\_SPREAD\_NOTIONAL  
indic  
indicator  
INF  
INTENSITY  
INTERP  
IS\_ALIVE  
JUST\_DEFAULTED  
KTH\_BEST  
KTH\_WORST  
ladder  
LERP  
LIBOR  
LINTERP  
ln  
log  
log10  
log1p  
log2  
max  
MEAN  
MEDIAN  
MEDIAN\_EXCLUDING  
min  
neg  
negative\_part  
NTH\_BEST  
NTH\_WORST  
NUM\_DEFAULTED  
OIS

PAST\_FIX  
PCT\_RANK  
PERCENTILE  
PERCENTILE\_RANK  
PERF  
PERF\_ACCRUED  
PERF\_PROD  
PERF\_PROD\_IF  
PERF\_SUM  
PERF\_SUM\_IF  
piecewise  
pos  
positive\_part  
pow  
PROD  
PRODUCT  
put\_payoff  
Q\_SURVIVE  
Q\_SURVIVE\_BOND  
QUANTILE  
ramp  
RANGE  
range\_digital  
RANK  
RANK\_OF  
RATIO  
RATIO\_ACCRUED  
RATIO\_PROD  
RATIO\_PROD\_IF  
RATIO\_SUM  
RATIO\_SUM\_IF  
REALISED\_QV  
REALISED\_QV\_CROSS  
REALISED\_VAR  
REALISED\_VOL  
REALIZED\_QV  
REALIZED\_QV\_CROSS  
REALIZED\_QV\_IF  
REALIZED\_VAR  
REALIZED\_VAR\_IF  
REALIZED\_VOL  
REALIZED\_VOL\_IF  
RECOVERY  
RELATIVE\_BASKET  
RFR  
RMS  
RUNNING\_AVG  
RUNNING\_COUNT  
RUNNING\_COUNT\_IF  
RUNNING\_MAX  
RUNNING\_MEAN  
RUNNING\_MEAN\_IF



RUNNING\_MIN  
RUNNING\_PROD  
RUNNING\_PROD\_IF  
RUNNING\_PRODUCT  
RUNNING\_SUM  
RUNNING\_SUM\_IF  
RUNNING\_SUM\_LOG  
RUNNING\_SUM\_LOG\_IF  
SHARP\_RATIO  
SHARPE  
SHARPE\_RATIO  
sigmoid  
sign  
smooth\_indicator  
smooth\_step  
SNAPSHOT  
soft\_max  
soft\_min  
softmax  
softmin  
sqrt  
STD  
STDDEV  
STDEV  
STDEV\_EXCLUDING  
step  
straddle  
SUM  
SUM\_BEST\_K  
SUM\_EXCLUDING  
SUM\_FWD\_DIVS  
SUM\_LOG  
SUM\_REALIZED\_DIVS  
SUM\_WORST\_K  
SUP  
SWAP  
swap\_physical\_exercise  
TRANCHE\_LOSS  
VAR  
VAR\_EXCLUDING  
VARIANCE  
where  
WORST\_OF  
WORST\_OF\_EXCLUDING  
WORST\_OF\_IDX  
WORST\_OF\_IDX\_EXCLUDING  
YOY\_INFLATION  
ZC\_INFLATION\_SWAP\_RATE